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London Market insurance essentials

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2025 KEY FACTS

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London Market insurance essentials

LM1: 2025 Key facts

This edition is based on the 2025 examination syllabus to be examined from 1 January 2025 until 31 December 2025.

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1

Fundamental principles of insurance

Concept of risk and risk transfer

The word '***risk***' is used in many different ways in the insurance marketplace and we need to look at each of these in turn. Here we will examine the term in its everyday sense and find our first problem. There is no universally recognised definition for the term risk.

Risk perception

In a personal sense, we all take decisions based upon an assessment of risk, albeit that it is usually carried out informally. This informality may be acceptable in 'low risk' situations where the ultimate calamity is something like wet clothing, but in many contexts, we need better measurement tools, especially where the potential for loss is significant.

Risk measurement and the means of attempting to deal with the risks we face are collectively termed **risk management**.

Definition of risk

Consider for example the many risks associated with owning a building. These include the risk that:

- the building might be damaged by fire or flood;
- someone working in or visiting the building might get injured; or
- someone else's property might get damaged either by parts of the building falling on it or whilst being stored in the building.

Each of these represents a risk so far as the owner is concerned and in each case it is possible to insure (transfer) the risk. This is done by the owner paying a known premium to an insurer in return for the insurer accepting the future unknown cost of the insured risk. The insurer does this by promising to pay for loss, damage or liability as defined by the policy terms. Insurance, therefore, is a means of transferring the risk.

The acceptance of an unknown future potential risk by an insurer for an agreed premium is a way of defining insurance as a **risk transfer mechanism**.

Other meanings of the term 'risk'

There are three other ways in which the term is used in the insurance marketplace:

- peril being insured (e.g. fire or collision);
- subject-matter of insurance (e.g. the factory, ship or potential liability); and
- the thing insured, such as the property itself, and the range of contingencies or scope of cover required (if the term is used by an insurer, they often mean both of these).

Attitude to risk

Each person's attitude to risk is different. Therefore, we all respond to risk in a different way. Some people are willing to carry certain risks themselves and are termed **risk-seeking**, while others lean more towards being **risk-averse**, feeling happier minimising the risk to which they are exposed. Very few individuals are in a position to evaluate, with any accuracy, the risks to which they are exposed. However, many companies attempt to achieve this as part of their risk management process.

Risk management

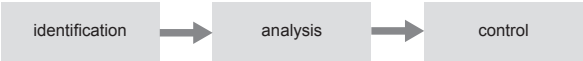
There is a continuing trend towards taking control and developing a formal strategy for managing the various risks that affect businesses. The appointment of risk managers in industry and commerce is now commonplace. Many are members of the Association of Insurance Risk Managers. This organisation shortened its name by the omission of the words 'in Industry and Commerce' but has kept its old acronym of AIRMIC.

The decision to transfer risks (for example, by insurance) is an important final stage in the risk management process.

Function of risk management

Risk management may be defined as: '**The identification, analysis and economic control of those risks which can threaten the assets or earning capacity of an enterprise.**'

It should address methodically all the risks surrounding the firm's current, past and future activities.



Risk identification

This step involves the company discovering its possible existing and potential future threats. Not all of these risks will be insurable, but they must all be managed.

For many conventional risks, such as a factory owner looking for physical damage insurance for their buildings, an insurer may become involved in helping to identify existing and potential risks through carrying out a physical examination or survey.

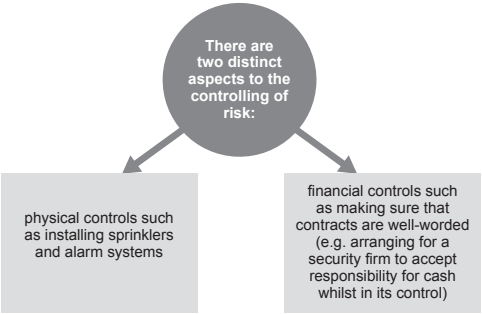
Risk analysis

Risk managers examine past data to evaluate or analyse the risk.

Risk control

If the risk is seen to have the potential for adverse consequences, some course of action should be put in place to control, reduce or even eliminate the risk. Elimination is the most effective, but may be costly or impracticable.

The elimination of risk, or even its reduction, will always be subject to the test of whether the cost of doing so is reasonable compared to the cost of the feared event happening.



Insurers (and to an increasing degree, insurance brokers) assist in the area of loss prevention and control. They do so by imposing requirements and making recommendations designed to improve the risk, following the completion of a survey.

Components of risk

In order to gain a deeper understanding of the meaning of risk, we need to take a closer look at the various components of risk.

Uncertainty

The concept of **uncertainty** implies doubt about the future, as a result of our incomplete ability to predict what is going to happen. If we could say with certainty what was going to happen, there would be no element of risk involved.

Level of risk

The second aspect of risk relates to the different levels of risk that exist. We know that there is a greater likelihood of some things happening than others and this is what we mean by the level of risk involved.

Risk is usually assessed in terms of:

- **frequency** – how often it will happen; and
- **severity** – how serious it will be if it does happen.

These are the measurement criteria used in the risk management process.

High frequency and low severity
An example of high frequency and low severity of loss could be comprehensive private motor insurance, where there are many losses for damage to the insured's own vehicle which are low in value, but relatively few third party personal injury claims which will be far higher in value.

Low frequency and high severity
In this case, a small number of events would result in very high costs. Accidents involving aircraft are good examples of this type of risk profile because, when a loss occurs, the cost could be substantial.

Significance of frequency and severity
The different frequency and severity profiles are important to insurers. This is because they wish their businesses to be, as far as possible, free from great peaks and troughs in relation to claim payments made from one year to the next.

A key reason for an insurer to be able to predict the frequency and severity of losses is to forward plan in order to be able to respond to infrequent large catastrophe-type claims.

Peril and hazard

Peril	can be defined as that which gives rise to a loss, i.e. fire or flood.
Hazard	can be defined as that which influences the operation or effect of the peril.

Physical and moral hazard

Physical hazard relates to the physical characteristics of the risk and includes any measurable dimension of the risk.

Moral hazard arises from the attitude and behaviour of people. In insurance, this is usually the conduct of the insured. Moral hazard also arises from the conduct of the insured's employees and that of society as a whole.

Categories of risk

Not every type of risk or eventuality is insurable. It will help our understanding if we look at (and contrast) different types of risk to identify those that are insurable and those that are not.

Financial and non-financial risks

Some of the risks that we face are not capable of financial measurement. They may have a financial aspect to them, but it is incidental. The real risk arises from decisions and actions motivated by other considerations.

For a risk to be insurable the outcome of adverse events must be capable of measurement in financial terms. Most general insurances are compensatory in nature – this means that the value placed on the loss is not determined in advance.

Important exceptions to this general rule are personal accident and sickness policies. This is because there is no way of valuing precisely the loss of a life or the loss of sight so these policies are taken out in order to provide pre-agreed amounts in the event of an accident or sickness and are known as **benefit policies**.

Pure and speculative risks

There are many situations in life when we speculate with a view to making some kind of gain.

With each activity we aim to make a gain, but each carries the possibility of break-even or failure. Consequently, although there are some aspects of business activity that can be insured, this does not include things such as misreading the market or a business failing because of local competition. These are called **speculative risks** and they cannot be insured.

Pure risks, on the other hand, are those where there is the possibility of a loss but not of gain, and where the best that we can achieve is a break-even situation.

Particular and fundamental risks

There are some risks that occur on such a vast scale that they are uninsurable. These are called **fundamental risks**. Take for example the risk of famine or economic recession.

Fundamental risks can be defined as those that arise from social, economic, political or natural causes and are widespread in their effect. As we have seen, non-financial or speculative risks are uninsurable as a matter of principle.

In contrast, the problem with fundamental risks is that it is often a lack of appetite or capacity on the part of insurers that causes such risks to be difficult to insure or even completely uninsurable. An example of this would be the risk of war.

Unlike fundamental risks, **particular risks** are localised or even personal in their cause and effect. Sometimes the cause may be more widespread (a storm over a whole region), but the effect is localised or even related to an individual. For example, not all properties in the region will have been damaged.

Features of insurable risks

In addition to being financial, pure and (generally speaking) particular, the following features must also apply for a risk to be insurable:

- a **fortuitous event**;
- **insurable interest**;
- the risk itself must not be against public policy; and
- the risk must generally not be a one-off.

Fortuitous event

To be insurable, the happening of the event must be fortuitous. In other words, it must be **accidental or unexpected and not inevitable**, for the insured.

Insurable interest

Insurable interest is the legally recognised financial relationship between the insured and the object or liability that is being insured.

Public policy

It is commonly recognised in law that contracts must not be against public policy or go against what society considers to be the right or moral thing to do. Insurers should not, therefore, cover risks that are against public policy.

Homogeneous exposures

A sufficient number of exposures to similar risks, historical patterns and trends will enable an insurer to forecast the expected extent of future losses. We could call such risks ‘objective risks’.

In the absence of a large number of **homogeneous exposures** (i.e. similar risks) the task is harder, as a pattern is more difficult to determine.

Whereas fortuitous loss, insurable interest and not being against public interest are absolute requirements, the concept of homogeneous exposures is an ideal. There are occasions when an insurer will need to use less than fully reliable historical data when fixing premiums, such as:

- a completely new risk (such as new technology); and
- risks in parts of the world not previously open to that insurer.

Pooling of risk

The basic concept of insurance is that the losses of the few who suffer misfortune are met by the contributions of the many, who are exposed to similar potential loss.

Contributions, in the form of premiums from many insureds, go into this pool. From the pool, payments are made to compensate the losses of the few.

The insurer endeavours to make sure that the premium paid by the insured is **proportionate to the risk which they introduce to the pool**.

Law of large numbers

In operating the pool, insurers benefit from the law of large numbers. This states that where there are a large number of similar situations, the actual number of events occurring tends towards the expected number.

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Applying the principle of large numbers to insurance enables the insurer to predict fairly confidently the final cost of claims in any one year. This is because insurers provide cover against a large number of similar risks, and the final number of actual loss events tends to be very close to the expected number – provided the conditions under which the original data were gathered remain constant. This enables the insurer to calculate likely losses and so confidently charge a fixed premium.

In addition to the law of large numbers, the insurer also uses historic data to predict the pattern of claims payments and ultimate claims values.

Equitable premiums

To operate a pooling system successfully, a number of pools must be set up – one for each main group of risks being underwritten.

Each insured wishing to join the pool must be prepared to make an equitable (fair) contribution to that pool.

When deciding on an equitable contribution, insurers take into account the different elements of risk brought into the pool by each of the insureds. These are often referred to as discrimination factors.

Reasons for buying insurance

An individual (or a business) will decide whether or not to purchase insurance based on:

- their attitude to their potential risk;
- what price they are prepared to pay for the peace of mind which insurance gives; and
- the extent to which they feel they have a choice about insuring the risk.

Primary and secondary functions of insurance

Insurance brings many benefits to policyholders and to society as a whole.

Its **primary functions** include:

- spreading the risk;
- providing the insured with a degree of certainty; and
- transferring risk.

Its **secondary functions** include:

- Companies don't have to set aside large sums of money.
- Companies can confidently look to expand their business.
- Jobs are protected.
- Losses are reduced in size and number.
- Insurers are largely investors of funds.
- 'Invisible' exports.

Compulsory insurance

The UK Government has legislated to make certain forms of insurance compulsory and the same is true in many countries around the world, although the categories that are compulsory differ from country to country.

In the UK, the Government acts as an insurer in its own right in providing certain benefits for individuals. These are important and include welfare benefits, unemployment benefits and retirement benefits. However, this will not be the case in every country. Many countries, for example, have a form of workers' compensation cover (giving fixed benefits), which is provided by the private sector rather than by the Government.

The UK Government has tended to make the insuring of certain risks – relating to legal liability or negligence – compulsory through legislation. The aim is to make sure that funds are available to compensate the innocent victims of many types of accident (though not all). Those made compulsory by law can be summarised as follows:

- **Private individuals**. Motor insurance and public liability insurance in respect of the ownership of dangerous wild animals and/or dangerous dogs are compulsory for private individuals.
- **Professions and businesses**. Motor insurance and employers' liability insurance are both compulsory for every business which uses motor vehicles on a road and has employees respectively.

Public liability insurance is also compulsory for specific trades and professions, including riding establishments. Solicitors and other professionals, including insurance intermediaries, must have professional indemnity insurance. Marine pollution liability insurance is compulsory, as is liability insurance for operators of nuclear reactors.

The main reasons why certain forms of insurance are compulsory are:

- To provide funds for compensation.
- In response to national concerns.
- Reputation of the profession.

Employers' liability insurance

The **Employers' Liability (Compulsory Insurance) Act 1969** made it compulsory for employers in Great Britain to effect employers' liability (EL) insurance. This insures employers against their liability to pay compensation to employees who sustain bodily injury or disease, arising out of and in the course of their employment.

Motor insurance

The **Road Traffic Act 1988** (as amended) stipulates that it is illegal to cause or permit the use of a vehicle on a public road (extended now to include 'any other public place') unless an insurance policy is in force, covering third party property damage and third party bodily injury or death.

Public liability insurance: riding establishments

One of the provisions of the **Riding Establishments Act 1970** is that all proprietors of riding establishments must have public liability insurance.

Liability insurance: dangerous wild animals and/or dangerous dogs

Apart from motor insurance, the other forms of liability insurance which are compulsory for private individuals are

in respect of the ownership of dangerous wild animals or dangerous dogs.

Professional indemnity insurance

Professional indemnity (PI) insurance is compulsory for certain professions. These include solicitors and others such as accountants and insurance intermediaries who are authorised by the FCA.

Solicitors

Solicitors must hold professional indemnity insurance – this must indemnify the solicitor against claims for financial loss suffered by clients as a result of the solicitor's professional negligence.

Insurance intermediaries

Insurance intermediaries authorised by the FCA must have PI insurance. Appointed representatives and introducer appointed representatives are not required to have this form of insurance, since everything they do is undertaken on behalf of a principal that is responsible for their actions.

The claims handling process

It is important to understand the role of insurance as a **service industry**. Customers, even for compulsory insurance will remember the service provided by their insurer; they can and will move their business depending on the experience that they have with the insurer.

The insurer 'experience' is generally centred on claims handling, as before a loss happens most insureds pay little or no attention to their policy.

Claims personnel

An efficient claims department, staffed by competent and professional claims personnel, is vital to ensure the proper use of an insurance company's financial resources. The role of claims personnel is to:

- deal efficiently and fairly with all claims presented;
- identify quickly those claims which are not valid and advise the insured and their representatives quickly;
- assess and calculate the funds to be set aside to pay the claim for both indemnity and any attendant costs (e.g. for experts). These funds are known as reserves;
- instruct any necessary experts;
- settle claims cost-effectively; and
- liaise with colleagues in other areas of the insurer’s operation to provide them with data relating to claims, both individual and in terms of trends and patterns.

2

Basic insurance legal principles and terminology

Contract law

The English law of contract is essentially a law of deals or agreements. It involves the relationship between two parties, one of whom agrees to perform or do something if and when the other party also performs or does something.

Applying this definition to insurance, it may be said that an insurance contract is: an agreement, enforceable by law, between an insured and an insurer.

The insured agrees to pay a premium to the insurer and abide by the terms and conditions of the policy. In return, the insurer agrees to pay to the insured a sum of money or provide something of monetary value, on the happening of a specified event, e.g. the submission of a claim.

Essentials of a valid contract

To ensure that a valid and enforceable contract is formed, an agreement must satisfy certain criteria. Two of the most important are:

- **offer and acceptance**; and
- **consideration**.

There are other important elements of a valid contract which are listed below.

Contract element	Explanation
Intention to create a legal agreement	The parties are acting deliberately.
Possibility of performance	Can what is being agreed in the contract actually be done? A contract to fly to the moon on a hang glider would be impossible to perform.
Capacity to enter into legal relations	Capacity is a legal concept and deals with the legal ability to make decisions. With one or two exceptions, young people under the age of majority (18) are not deemed capable of entering into contracts, and nor are those with diminished mental abilities.
Consensus ad idem (literally: meeting of minds)	Do both parties believe they are agreeing to the same thing – see the 'Consider this' box below.
Legality	Is the contract legal? An example of an illegal contract would be one to commit a criminal offence.
Certainty	Are the terms of the contract clear and unambiguous and are all parties entirely clear as to their obligations?

A contract may be declared invalid or set aside if it is missing any of these essentials. It cannot exist in law even though the

parties involved may want it to. The legal term for this is that it is ***void ab initio*** (from the beginning).

All parties to a contract must act in **good faith** which means that they must not mislead one another.

Only in certain circumstances is a document necessary and a simple contract does not need to be evidenced in writing. Insurance policies are simple contracts. It follows that a policy does not have to have been issued for cover to exist.

Offer and acceptance

A contract comes into existence when one party makes an offer which the other accepts unconditionally.

Unconditional acceptance

A contract is formed, subject to the other essential elements being present. To be effective, acceptance must be the final and unqualified agreement to the offer.

Conditional acceptance

If new terms are introduced, the so-called acceptance becomes a new offer (a counter-offer) which is open to be accepted or rejected by the person who made the original offer.

Postal acceptance

The general rule is that the contract is made when the acceptance is received by the offeror (the person making the offer). However, where the parties have agreed to use the post as the method of communication, acceptance is complete at the point when the letter of acceptance is posted.

Consideration

Contracts must be supported by consideration to be valid.

Consideration may be described, simply, as each person's side of the bargain which supports the contract. The consideration from the insured is generally the payment of the premium and the consideration from the insurers is the promise to pay valid claims.

Insurable interest

Insurable interest is not one of the ingredients of a basic contract but is one of the elements necessary to create a valid insurance contract. It may be simply defined as 'the legal right to insure arising out of a financial relationship recognised at law, between the insured and the subject-matter of insurance.'

Features of insurable interest

Subject-matter

Subject-matter of insurance	This is what is actually being insured, be it a physical thing such as a building, a car, a ship or some livestock, or the potential to be held legally liable for loss or damage to someone else or their property.
Subject-matter of the contract	This is the relationship that the insured has with the subject-matter of insurance. It might be ownership of property, responsibility for the safe-keeping of goods stored in a warehouse, or liability as the owner of a restaurant if the customers contract food poisoning.

Legal relationship

The relationship of the insured with the subject-matter must be recognised in law for insurable interest to exist.

Financial value

The idea here is that should something bad happen then the insured may have a financial downside, either because something has been damaged or destroyed, or because they have incurred a legal liability which may result in an award of damages against them.

Insurer's own insurable interest

Insurers have an insurable interest allowing them to purchase reinsurance to protect them from the risks they have written.

Creation of insurable interest

Common law
We all owe duties to each other and have certain rights under common law. These give rise to insurable interests. The most obvious examples of this are ownership or exposure to liabilities to others under the law of negligence.

Contract
There are situations (when we enter into a contract) in which we accept greater responsibilities and therefore liabilities than those imposed by common law.

Statute
There are some statutes which **impose a positive duty**, thus creating an insurable interest.

Statutes modifying insurable interest
There are also statutes which **restrict liability** and, therefore, restrict the financial value element of insurable interest.

Duties of disclosure during contract negotiation

Good faith

Principle of good faith in pre-contract negotiations

The principle applies equally to both the proposer and the insurer throughout the contract negotiations and essentially means that both parties should be open and transparent with each other in the sharing of key information relating to the risk.

Legal position if the insured is a consumer

A consumer is defined as someone who is buying insurance wholly or mainly for purposes unrelated to their business, trade or profession.

The consumer, under the **Consumer Insurance (Disclosure and Representations) Act 2012**, has a duty to take reasonable care not to make a misrepresentation to their insurers, and whether they have exercised reasonable care will be considered in light of all the relevant circumstances.

The insurer will have to show that without the representation they would not have entered into the contract or would have done so on different terms.

Innocent misrepresentation does not give the insurer the right to decline a claim payment for personal insurances.

The Claims Handling section of the Insurance: Conduct of Business Sourcebook (ICOBS) contains the main rules and guidance. The over-arching requirement is that insurers must not unreasonably reject a claim.

Legal position if the insured is not a consumer

Under section 3 of the Insurance Act, the insured must make a fair presentation of the risk to the insurer. Fair presentation is defined as:

> 'one which makes disclosure of every material circumstance which the insured knows or ought to know, or disclosure which gives insurers sufficient information to put a prudent insurer on notice that it needs to make further enquiries.'

Materiality

What is material information?
Examples of the types of information that insurers consider to be material include:

- **Physical hazard**. For example, information about the construction of a building and the type of heating system installed.
- **Moral hazard**. For example, whether the proposer has any criminal convictions, any insurance declined previously or any fraudulent claims discovered.

However, the key changes within the Insurance Act are:

- the insured cannot data dump on the insurer; and
- the insurer has to consider whether the presentation invites further questions to be asked; the burden to ensure these questions are asked, if needed, is on the insurer.

The Act sets out the scope of the insured's actual or imputed knowledge – this includes in an organisation, matters known by senior management and those responsible for the organisation's insurances.

The Act also discusses in section 4 what the insured 'ought to know' and the definition of this relates to the conduct of a 'reasonable search of information available to the insured'. The key here is that the larger the organisation, the more widespread the internal request for information will have to be.

The final point to note about assumed knowledge on the part of the insured is contained in section 6; here, it says that information the insured suspects but deliberately refrains from confirming will be included as what the insured 'knows'.

Examples of information that does not need to be disclosed

Matters of law	Everyone is deemed to know the law. It follows that those actions that the proposer needs to take in order to comply with the law do not need to be declared specifically, even if material.
Public knowledge	Examples: • A state of war exists. • A particular area or country is subject to natural catastrophes, subsidence, hurricane or flood. • Industrial processes that are standard for the trade.
Factors that lessen the risk	It would be unusual not to advise the insurer of factors that lessen the risk. This is because they are matters that usually have the effect of producing a lower premium or better cover. Nevertheless, there is no requirement to disclose them. The fitting of an intruder alarm is an example of an improvement to a theft risk that the insured/proposer is not bound to disclose.

Information waived by the insurers	Such facts would include those where the proposer has not answered a question on a proposal form, or has just inserted a dash. If the insurer does not follow this up, it is considered to have waived its right to that information. The insurer cannot claim non-disclosure in the future. The only exception might be where the non-answering of any question could be construed as answering the question in the negative. Each question on a proposal form should be present for a reason, in that it relates to information in which the insurer is interested. It is therefore important that insurers check carefully at an early stage whether any further information is required to enable them to make their decision.
Information that a survey should have revealed	This only applies in circumstances where an insurer has actually carried out a survey. Provided that the proposer has not concealed anything from the surveyor, if the surveyor misses something of importance that is material information, the insurer cannot subsequently claim non-disclosure by the insured. This is because the insured has no way of knowing what the surveyor may or may not have noted during a survey.

Information that the insured does not know	Different rules apply to people acting in their private capacity as compared with commercial insurances. Broadly speaking the tests are: • whether the requirement for disclosure was reasonable; and/or • whether the fact was material. Specific examples include: • **Information covered by policy terms**. The insured is not required to declare those things that are specifically dealt with by policy terms. For example, the fact a person enjoys underwater pastimes is not relevant when applying for a personal accident insurance, if the policy excludes such activities. Obviously, if the policy does cover underwater activities, then the matter becomes material. • **Spent convictions**. Under the terms of the **Rehabilitation of Offenders Act 1974** (as amended by the **Legal Aid, Sentencing and Punishment of Offenders Act 2012 (LASPO)**), certain offences are treated as if they had never been committed after differing periods of time. The timing varies according to the severity of the sentence imposed.

When it comes to the '**ought to know**' or '**presumed to know**' categories, the Act also defines these concepts:

- The insurer **ought to know** something if it is known by an employee or agent of the insurer and the information ought reasonably to have been passed on to the person making the decision to accept the risk, or if the information is held somewhere within the organisation and is readily available to the person making the decision.
- The insurer is **presumed to know** things which are common knowledge and things which an insurer operating in this class of business would reasonably be expected to know.

Role of the broker

The insured's knowledge includes the knowledge held by one or more of the individuals responsible for the insured's insurance which can, therefore, include brokers, but there is no longer a separate expressed duty of disclosure on the part of the broker as there was previously.

Remedies

Under the Insurance Act, there are a number of remedies for breach of the **duty of fair presentation**. The first decision to be made is whether the breach was deliberate or reckless, or neither deliberate nor reckless. The second decision is whether the breach took place as part of the original risk placement or in relation to any variation of the contract.

Original placement

If the breach was deliberate or reckless – which is defined as the insured knew that they were in breach and did not care – the insurer can avoid the policy from the start (*ab initio*) and they can retain the premium. The insurer has the burden to prove that the breach was deliberate or reckless.

However, if the breach was neither deliberate nor reckless, the insurer's remedy depends on what their response would have been to the correct information, had it been presented:

- If the insurer would not have entered into the contract at all if the correct information had been presented, then the insurer can avoid the contract but they must return the premium.
- If the insurer would have entered into the contract on different terms (not including the premium) then the contract will be treated as if those terms were included.
- If the insurer would have charged a higher premium, then the remedy is not that an additional premium can be charged, but that any claim will be reduced on a

proportionate basis. Therefore, if the insurer feels that they have in fact only received 80% of the premium they were expecting, only 80% of the value of any otherwise valid claim will be paid.

Variation

A variation or change to an insurance contract can occur at any point after the original placement is concluded. A variation can be anything from a simple change, such as the correction of a spelling mistake, or something more substantial, such as adding a new asset to an insurance policy. Whatever the nature of the change the new law applies specific remedies depending on the nature of any breach of the duty of fair presentation:

- If the breach is deliberate or reckless, insurers can terminate the contract from the time of the breach and do not have to return the premium.
- If the breach is neither deliberate nor reckless and the premium stayed the same or increased due to the variation, and
  - if the insurer would not have agreed to the change they can treat the contract as if the change never took place, but they have to return any additional premium charged; or
  - if the insurer would have agreed to the variation but on different terms (including premium) the contract will be treated as if the changes have taken place and if more premium should have been charged the claims will be impacted as explained previously.
- If the breach is neither deliberate nor reckless but the premium was reduced because of the change, and
  - if the insurer would not have agreed to the change, then they can treat the contract as if the change had never happened, but any claims will be penalised as

the insurer has now received less premium than they originally wanted; or
– if the insurer would have agreed to the change but on different terms these different terms will be applied.

Contracting out

It is possible for the parties to the insurance contract to agree that the provisions of the Insurance Act 2015 will not apply and, therefore, that the previous law on disclosures will apply. However, the Insurance Act places a burden on the insurer to be very transparent in their explanation to the insured of the impact of doing this. If the insurer does not do this, any apparent contracting out within the documentation may have no legal effect.

Compulsory insurances

The **Road Traffic Act 1988** prohibits the insurer from avoiding liability on the grounds of certain breaches of good faith.

However, the law is primarily concerned that the innocent victims of road accidents should be adequately compensated, and this aim would be defeated if an insurer could avoid paying claims on the grounds of non-disclosure by the insured.

Insurers must, therefore, meet all claims for personal injury and property damage made compulsory under the legislation.

Insurer’s duty of disclosure

The insurer also has a duty of disclosure to the insured. In order to fulfil this duty, the insurer must also behave with good faith; for example, by explaining clearly the various products available and the options available to the insured

and an insurer's ability to reduce premium if an insured fits sprinklers or superior locks to property.

Modification by policy wordings

At inception
Under common law, the duty of disclosure starts when negotiations begin and ends when the contract is formed (at inception).

The exception would be if there was a specific policy condition which extended the duty of disclosure so that it became a continuing one.

On renewal
On the renewal of a policy, the insured’s duty of disclosure is revived for general insurance (non-life) policies.

Once the requirements for disclosure have been met in the negotiations leading up to the inception of a long-term contract, the duty of disclosure ceases. Once the policy is in force, even if a material fact – such as the life insured's health – changes, it does not need to be declared.

Continuing requirement
Insurers are often concerned that their rights at common law are limited because they do not need to be advised of certain material mid-term changes to a risk that they insure. They deal with this situation in different ways for different classes of insurance.

On alteration
During the term of a general (non-life) policy, it may be necessary to change the terms of the policy. The insured may wish to increase the sum insured, change the description of the property or add another driver to a motor policy. Where a change results in the need for an endorsement to the policy, the duty of disclosure is revived in relation to that change.

Limitation of an insurer's right to information

In many cases it is the completion of a proposal form by the proposer that brings about insurance. The insurer constructs the proposal form with the intention that it will draw out all the relevant information relating to the risk. However, even if a specific question is not asked, the duty of disclosure means that the proposer must still disclose any information that is material.

Use of slips in the London Market

The London Market is slightly different in that most risks are not placed using a proposal form, but using a Market Reform Contract (still colloquially known as a 'slip') on which the risk details are summarised for the insurers' consideration.

This document is drawn up by the insurance broker and does not include any questions from the insurers. This does not mean that the insurers cannot and should not ask any questions, just that they will do so following the presentation of the risk by the insurance broker and not through a pre-set list of questions which the proposer answers at the time of the first presentation of the risk.

However, insurers must exercise care because their conduct may prevent them from claiming that a breach of the duty of good faith/duty of fair presentation has occurred.

For example, if an insurer knows that the insured deliberately failed to disclose a material fact in discussions leading up to inception of the policy, the insurer has the option to avoid the contract *ab initio*. However, the insurer must not act in a way that suggests that they have waived their right to avoid the contract.

The key is the insurer cannot unnecessarily delay any decision it makes to avoid or cancel the policy, as fundamentally that would be unfair to the insured.

Cancellation of insurance contracts

Once an insurance contract has been concluded, it is expected to continue until the agreed expiry or renewal date. There is no obligation upon the insurer to offer renewal terms.

There are some situations in which either the insurer or the insured may wish to cancel cover during the currency of the policy. This is governed by the written terms and conditions in the policy.

Insurer’s rights

Most general insurance policies have a cancellation condition. This allows the insurer to cancel, provided that a letter is sent to the insured's last known address (usually by recorded delivery or registered post) giving 14 days' notice of cancellation.

Policyholder’s rights

It is less common for the insured to have cancellation rights. Some insurers permit this in their wordings, even allowing a proportionate return of premium.

Other means of terminating insurance contracts

As with any other contracts, termination may be as a result of the fulfilment of the contract or as a result of some problem in relation to the contract.

Fulfilment

This means that the contract has been fully performed – it has done its job in other words.

Voidable contracts

There are circumstances in which one party to a contract may set it aside. It is said to be voidable at their option. This may arise under insurance policies where the insured is in breach of a policy condition that places a continuing requirement upon them.

There may also be situations where the policy has never been in force. This would arise where there was no recognised insurable interest at the outset.

Proximate cause

When a loss occurs and the insured makes a claim for loss or damage, the insurer decides whether to meet the claim by asking the following questions:

- Is a valid policy in force?
- Is the cause of the loss covered under the policy?

Meaning of proximate cause

Often the cause of a loss is straightforward and there is no need for a long investigation.

However, there are occasions when the cause of the loss is not so easily defined, either because there is a chain of events or there is more than a single cause. In such cases, we need rules to guide the way in which insurers should deal with such losses.

This is when insurers apply the doctrine of **proximate cause**.

The proximate cause of an occurrence is always the dominant cause and there is a direct link between it and the resulting loss. A single event is not always the direct cause of a loss: a loss sometimes occurs following a train of events.

Nature of perils

Once the insurer has established the proximate cause of the loss, it must check whether the peril is covered by the policy. Perils can be classified as follows:

- **Insured perils**: those named in the policy as covered.
- **Excepted or excluded perils**: those named in the policy as specifically not covered.
- **Uninsured or unnamed perils**: those perils not mentioned at all in the policy.

Insurers decide whether or not a straightforward claim is valid by establishing into which of the above categories the peril that was the proximate cause of the loss, falls. It is only necessary to find the proximate cause of a loss where the events before the loss are not all insured perils.

Indemnity

The actual settlement or the amount payable by the insurer depends on a number of factors, including:

- the nature of the cover;
- the extent of the cover; and
- any conditions limiting the amount payable.

Most short-term (non-life insurance) contracts are contracts to indemnify the insured in the event of a loss.

Definition of indemnity

Indemnity can be defined as ‘financial compensation sufficient to place the insured in the same financial position after a loss as they enjoyed immediately before the loss occurred.’

The key here is that the principle of indemnity does not anticipate the insured making a profit from their loss but as we will see, not all insurances are contracts of indemnity.

Benefit policies

Some short-term policies are not policies of indemnity., i.e. those that provide fixed benefits, mainly for accident and sickness.

These are short-term policies because the insurer has the option of inviting renewal at the end of each period of insurance.

However, there is no way that a price can be placed on the loss of a limb or of sight, so the principle of indemnity cannot apply.

Insurers do try to take account of an individual's circumstances and earnings when agreeing to insure weekly benefits for temporary disablement. They do so because they do not wish the policy benefits to act as an incentive for the insured to remain off work longer than necessary.

Options available to insurers

There are a number of settlement options open to an insurer which will provide the insured with the necessary indemnity.

These apply only if they are stated in the policy. If they are not, the insured has a legal right to financial compensation.

Cash payment

For many years, most insurance claims have been settled by the payment of money by the insurer directly to the insured. This is still the case, particularly with commercial insurances.

Repair

Where it is possible, insurers may opt to repair any damage to an insured item. In this way, they can provide indemnity, perhaps at a lower cost than the insured might achieve, because of the negotiating power of a large organisation.

Replacement

The most common example of replacement as a means of providing indemnity is glass insurance. Speedy replacement means further losses are minimised, such as when shop front windows are smashed.

Reinstatement

Reinstatement is the fourth way that an insurer can provide indemnity. Reinstatement means that the insurer agrees to restore a building (or piece of machinery) that has been damaged by an insured peril.

Application of indemnity

Property and liability policies are contracts of indemnity because a value can be placed on the subject-matter insured. This principle also applies to pecuniary insurances, such as business interruption.

Property insurance

The measure of indemnity is the replacement cost less an amount for wear and tear. In the case of partial damage, indemnity is the repair cost less an allowance for wear and tear. This is very much a theoretical starting point. Most property policies incorporate some form of 'new for old' cover.

Liability insurance

A liability policy provides indemnity to the insured in respect of their legal liability to pay damages and legal costs (both for the insured and potentially the claimant's costs).

Measuring indemnity

Marine insurance

In a valued policy (which is the same as an **agreed value** policy), the insurable value is agreed between the insured and the insurer.

Property insurance

The measure of indemnity for property is its value at the date and place of loss.

Buildings: basic cover
Insurers calculate the indemnity for loss of, or damage to, buildings as the cost of repair or reconstruction at the time of loss.

Reinstatement conditions
This is an extension of the principle of indemnity. Cover applies on the basis, not of a discounted sum reflecting wear and tear, but the full reinstatement value at the time of reinstatement.

Under property insurance policies, there are several different types of insuring clause, the most common of which are the **reinstatement memorandum** and **Day One reinstatement**.

Reinstatement memorandum
The most important aspect of insurances subject to the reinstatement memorandum is that the sum insured must represent the full value at the time of reinstatement. This

means that the insured pays a premium based on the higher amount.

Day One reinstatement
This requires the insured to state the reinstatement amount on the first day of the cover. Insurers provide an automatic uplift to allow for inflation (usually an extra 50% of the 'declared value') but only charge a modest increase for this inflation element (15% of the premium).

Machinery and contents

Basic cover
The starting point for the measurement of indemnity depends on whether there is a ready second-hand market for the item.

Stock

Manufacturers' stock in trade	This stock generally consists of raw materials, work in progress and finished stock. Indemnity value is the cost of raw materials, at the time and place of loss, plus labour and other costs incurred in respect of work in progress and finished stock.
Wholesalers' and retailers' stock in trade	Indemnity here is the cost of replacing the stock, at the time of the loss, including the costs of transport to the insured's premises and handling costs. It is not possible to insure stock on any kind of reinstatement basis.

Household goods

Basic cover	In general, indemnity is based on the cost of replacing the items at the time of loss, subject to a deduction for wear and tear. However, a more popular form of cover is available and almost universally used within the UK – 'new for old' cover.
New for old cover	This modifies the principle of indemnity by making no allowance for wear and tear. Most insurers retain the deduction for wear and tear for items of household linen and clothing, but apply cover for all other items on a 'new for old' basis.

Farming stock

In the case of livestock and produce, the local market price is the basis of indemnity. Farming stock is different from other types of stock, as the insured is entitled to receive any potential profit on sale.

Liability insurance

In liability insurance, indemnity is measured as the amount of any court award (or more commonly, negotiated ‘out of court’ settlement) plus the costs and expenses arising in connection with the claim.

Modifying indemnity

Agreed value policies

In agreed value policies the value of the subject-matter of the insurance is agreed at the start of the contract and the sum insured is fixed accordingly. This value will be reviewed at each renewal.

In the event of a claim, the value need not be proved at the time of the loss.

First loss policies

There are occasions when the insured believes that the full value of the insured property is not really at risk, in other words, a total loss or even a very substantial loss is unlikely at least in relation to some perils that are being insured against. In this case, the insured may request that their policy has a sum insured for some perils or even all of them that is less than the full value.

It is important to understand that the insured will receive a full indemnity for the total sum insured for the perils concerned, however, the sum insured may be considerably less than the full value of the overall risk.

New for old cover

This usually applies to household contents policies. We could also place commercial property risks that are insured on a reinstatement basis in the same category. Each represents an attempt to replace at current costs.

Limiting factors

There are a number of situations in which insurers may provide less than a full indemnity.

Sum insured

The maximum amount that can be recovered under a property insurance policy is limited to the sum insured. In liability policies, the maximum amount that can be recovered is the indemnity limit plus agreed costs.

Some policies have no limit stated.

Inner limits or item limits

There are many policies that contain limits within the overall sum insured. The most common of these is a household contents policy.

There is usually a single item limit (for gold, silver or similar items) of 5% of the sum insured together with an overall sub-limit for all items falling into this category.

Many commercial policies will have sub-limits, perhaps for one particular location or peril being insured against such as windstorm.

Average

If the insured understates the value of subject-matter of the insurance when taking out their policy, there is said to be underinsurance.

However, insurers cannot check that the sum insured is adequate every time they take on a new risk. Instead, they limit their liability by applying a policy term known as the average condition. In effect, this term means that the insured is considered to be their own insurer for the amount they have chosen not to insure if there is underinsurance at the time of any loss.

The average condition is usual in commercial fire and theft policies and in virtually all household policies. It cannot apply to liability insurances.

Excess; deductible; franchise

An **excess** is an amount that is deducted from each claim and is paid by the insured.

Most excesses are voluntary and this is the case with commercial policies. This means that the insured receives some premium reduction for agreeing to carry the excess.

In general, policies that contain an excess will pay up to the policy limit over and above the excess; basically building a tower of policy limits above the value of the excess.

However, where the policy refers to a '**deductible**', this amount is deducted from the limits – so unless the policy wording overrides the basic principle, the insured will never be paid the full policy limits.

If there is underinsurance or any other policy term that limits or reduces a loss, and an excess or deductible applies to the same loss, the excess or deductible is deducted last of all.

A **franchise** operates in the same way as an excess or deductible as it is the first amount of any claim that the insured must pay themselves. However, it differs once the claim value exceeds the franchise value. Once this happens, the insurers will pay the whole claim with the insured not having to pay anything.

If you see the term 'From the ground up or FGU' this means that the figures being quoted (for example estimates for claims) have not taken into account any deductible/franchise or excess that might be applicable.

Contribution

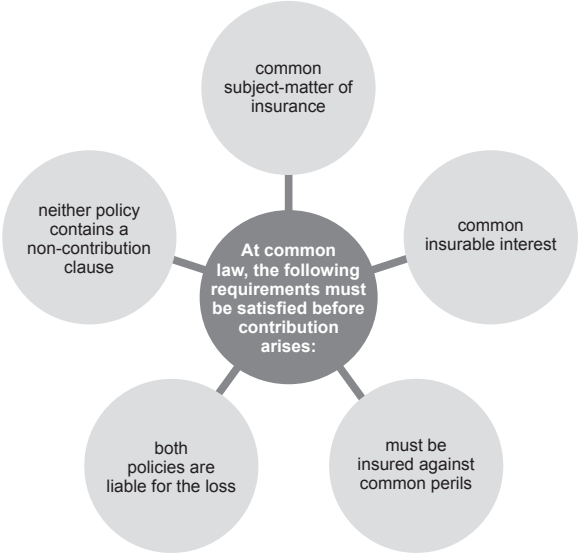
There are some situations in which an insured may have in place more than one policy covering a particular loss or liability.

Underlying both these principles is the principle of indemnity, which relates to exact financial compensation.

Definition of contribution

Contribution is defined as ‘the right of an insurer to call upon others similarly, but not necessarily equally, liable to the same insured to share the cost of an indemnity payment’.

How contribution arises



There is no requirement for the policies to be identical, but there does need to be some overlap between them.

Application of the principle of contribution

Insurers contribute to a claim on the basis of what is termed a **rateable proportion**.

Two possible ways of determining the rateable proportion of a claim include:

- sum insured; and
- independent liability method.

There are some situations in which the principle of contribution is modified:

- Non-contribution clauses.
- More specific insurance clauses.
- Market agreements.

Subrogation

We can summarise subrogation as **the right of an insurer following payment of a claim, to take over the insured's rights to recover payment from a third party responsible for the loss**.

Subrogation is limited to the amount paid out under the policy.

The insured cannot claim an indemnity payment from an insurer and then also acquire a further payment from a negligent third party. This would result in a profit to the insured and would breach the principle of indemnity.

Insurers' subrogation rights

Tort

At common law, everyone has a duty to act in a reasonable way towards others. A breach of this duty is called a **tort**. The person who has suffered damage or injury is entitled to compensation.

Statute

The **Riot Compensation Act 2016** makes provision for types of claims that can be made against the police and the procedures for making them in relation to property damaged, destroyed or stolen in the course of riots.

Under the Act, a claim can be made by a property owner, anyone else with a legal interest in the property (such as a tenant or mortgagee) or by an insurer. It must be made within 43 days of the riot, or a decision by an insurer not to pay all or part of a riot related claim. Claims made by insurers, having paid out to their clients, must be made within 43 days of the riot date.

Other rights of insurers to recoup some of their outlay

In some types of insurance, a total loss under the policy will be offered to the insured when the subject-matter of insurance is not completely destroyed but is perhaps so badly damaged that the repair costs will exceed the sum insured.

Of course, when this happens there may be some residual value in the item insured. This is termed **salvage**. If the insurer meets the loss in full it is the insurer that is entitled to the benefit of the salvage value.

The insured has the opportunity to retain the salvage, provided a suitable deduction is made from the claim payment to take its value into account.

Precluded subrogation rights

There are some situations in which insurers are barred from exercising subrogation rights, or where they agree not to exercise them.

Insured has no rights

The insurer's right to subrogate relies on the insured having rights against a negligent party which the insurer takes over, having indemnified the insured.

Benefit policies

As we have established, certain policies, such as personal accident policies, are benefit policies.

These policies are not true policies of indemnity as it is impossible truly to put a person back in the position they were in before the loss when the loss involves a part of the body.

The insured is entitled to keep both the personal accident benefits and the court award.

Subrogation waiver

There are circumstances in which insurers agree to waive their rights of subrogation. They do this through subrogation waiver clauses, which are common in commercial insurances.

Negligent fellow employees

Insurers took the decision not to pursue their recovery rights against negligent fellow workers as a result of a court case, ***Lister v. Romford Ice and Cold Storage Ltd*** **(1957)**.

Insurers have therefore generally agreed (except in extreme circumstances) not to pursue recovery rights against negligent fellow workers.

3

Main classes of business written in the London Market

Marine insurance

Marine insurance as its name suggests generally has some connection with the sea – and it is fair to say that the sea is a common denominator when looking at the types of insurance included in this classification.

There is additionally an unusual historic practice in the marine market of writing insurance in situations where the purchaser's insurable interest is not entirely clear. The lack of clarity may be around the interest itself or the financial extent of the interest (i.e. how much a vessel is actually worth).

Insurable interest is required for an insurance policy that is valid in law, so these policies are known as honour policies (i.e. not enforceable in a court). The term 'or Policy Proof of Interest' (or 'PPI') is used to identify them, i.e. the mere possession of a policy is evidence of the purported insurable interest.

These policies are rare in practice but passing reference is made to them in certain wordings still used in the market today.

Hull and yacht/recreational vessel insurance

Yacht/recreational vessel insurance covers a vast range of different vessels, the chief categories being:

- sailing vessels;
- motor vessels; and
- inland vessels.

Commercial vessel insurance also covers a large range of different types of vessels such as:

- cargo vessels;
- cruise/passenger vessels; and
- specialist vessels.

The key common element that is covered by any type of marine hull insurance is damage to the insured ship which makes this a physical loss or damage type of insurance. This type of insurance is also known as **first party insurance** or **short-tail insurance**.

Under most of the policy wordings there is also coverage for the liabilities that arise under maritime law should the insured vessel collide with another vessel.

Builder's risk insurance

The construction of a vessel (irrespective of her size or eventual use) is an expensive and lengthy process both for the eventual owner and the builder. Builder's risk insurance provides a combined physical damage and liability cover where the insureds can be just the purchaser/owner or a combination of the purchaser/owner and the build yard. The key aspects of the insurance are the length of time of the process but also the increasing values as the building progresses through to completion and handover to the owner.

Loss of earnings insurance

If a shipowner cannot use a ship, they cannot earn money from it. Therefore, they can purchase insurance covering their loss of earnings, for instances where they cannot carry passengers, use the vessel for carrying cargo or hire the vessel out to others.

In both types of loss of earnings insurance, the way in which the policy limits and deductibles are expressed differ from physical damage policies. Instead of a financial deductible or excess, loss of earnings policies generally have waiting periods.

Generally, the policy limit is also expressed as a period of days.

Cargo and goods in transit insurance

Cargo can be translated as goods; however, in the context of insurance, there is a key difference between cargo and goods in transit insurance. Cargo insurance is physical damage insurance for the items being moved around, whereas goods in transit insurance is primarily liability insurance for the person or organisation moving the items around; it covers some damage to their own property but mainly their liabilities in case they damage the cargo in their custody or care.

Cargo insurance

This insurance covers physical damage to the goods whilst they are on their journey. However, unlike hull insurance for ships, the standard cargo insurance does not cover any liabilities for the cargo damaging any persons or their property.

Stock throughput insurance

Stock throughput insurance is an end-to-end product which combines a transit policy with storage policies thus removing the danger of gaps in coverage between a freestanding storage policy generally written by property/inventory insurers and a transit insurance written by cargo insurers. They are generally written in the marine market and offer significant benefits to any client whose business necessitates their goods – both moving and being held in storage for any given length of time.

Jeweller's block insurance

As its name suggests, 'jeweller's block' insurance is specifically aimed to cover the jewellery trade. It is often set up as a package policy covering many different property and liability type risks and can cover all aspects of the business from the manufacturing, through trade shows and exhibitions and finally retail risks.

Specie insurance

Specie insurance is also a physical loss or damage insurance but the items covered are:

- loose gemstones;
- precious metals, such as gold and silver; and
- valuable documents.

Fine art insurance

Fine art insurance covers paintings, items such as sculptures and those objects which are generally called 'installations' – which could involve just sound or light rather than a tangible painting on the wall. As with the examples earlier in this section, this is also a type of physical loss or damage insurance. One of the elements of cover is not only the cost of repairing any item that has been damaged but also paying

out for depreciation in the value as a result of having been damaged.

Satellite pre-launch insurance

The word ‘satellite’ appears quite out of place here but it is in the right place as the cargo market does get involved with the insurance of satellites at a point before they are sent into space. Satellites moving from the manufacturing facility to the rocket launch pad are just another piece of cargo moving from one place to another, albeit a very expensive and very delicate one. Cargo insurers cover the satellite for physical loss or damage until the launch insurer takes over.

Cash in transit insurance

Cash in transit is another area of insurance which is also written in the non-marine market as well as the cargo market. It covers the movement of money between locations.

This insurance covers loss or damage to the cash, which as you can imagine, is a very appealing cargo for thieves to target.

Goods in transit insurance

This insurance covers the liability of the carrier in respect of the goods being carried. This insurance generally does not cover sea carriers as they obtain their liability insurance elsewhere using more wide-ranging liability policies.

War and strikes insurance

Both war and strikes (which actually includes terrorism in the main wordings) are excluded from the main hull, cargo and marine liability policies. However, marine war and strikes insurance is fairly freely available within the London Market, but the main market wordings are not quite as broad as the exclusions they are replacing.

War insurance covers war and civil war type risks, together with captures and seizures and the damage that might be caused by abandoned mines or similar ancient weapons. Piracy is specifically not included as a war risk in the main London Market wordings and is covered as a main peril in the hull wordings and in the widest of the cargo wordings. However, hull insurers will often move the peril under war insurance to keep all similar risks together.

Strikes insurance covers both strikes and damage caused by terrorists or those acting from a political or religious motive.

Marine liabilities

Just as a shipowner can purchase insurance against physical loss or damage to their ships, they should also consider purchasing insurance in case they incur any legal liabilities by injuring someone else, or their property. This is called 'third-party' insurance because there will be someone other than the insured involved in any claim.

This is also an example of **long-tail insurance** where there can be a significant time period between the insurance period, and the final closure of claims made on that insurance.

Vessel owners and operators should purchase insurance in relation to their liabilities for:

- Injury or death of crew.
- Injury or death of other visitors to the vessel who are not crew, for example, the port chaplain.
- Pollution caused by escape of cargo, waste water or the vessel's fuel.
- Damage to the cargo being carried.
- Damage done to other people's property (such as docks, lighthouses and buoys) by the vessel colliding with them.

- Removing the wreck after an incident.
- Damage caused to the vessel if they have hired (or chartered) the vessel from the owner.

Other parties which should also consider purchasing insurance to protect themselves from the financial consequences of incurring liabilities to others are:

- Port authorities.
- Shipbuilders or ship repairers.
- Marina owners.

Particularly for those land-based businesses such as marinas and shipyards, the liability for their employees will normally be covered by a standard non-marine employers' liability policy and there is nothing particularly maritime about the nature of the coverage, other than the insurers need to know the nature of the business.

Political risks insurance (PRI)

Notwithstanding the massive opportunities gained by operating in emerging markets across the globe, there are, nonetheless, inherent and highly unpredictable political perils which can have a significant impact on a given corporation's assets, investments and trades in second and third-world countries.

The portfolio of subclasses of political risks insurance offered within the market is extremely varied. It includes asset risks, such as CEND (confiscation, expropriation, nationalisation and deprivation), CCP (central counterparty), and contract frustration risks, such as non-payment and non-delivery by public and private obligors, exchange transfer, non-honouring of documentary letters of credit and wrong calling of bonds.

Offshore energy insurance

The offshore energy insurance market is also known as the ‘**upstream**’ area of the business, as contrasted with the onshore energy market which is generally termed ‘**downstream**’. In the middle is the part not unsurprisingly called ‘**midstream**’, which also tends to be insured in the onshore market.

The term 'upstream' is used to define any part of the industry involved with the extraction of oil and gas and therefore you can have upstream risks on land – much oil/gas drilling is done onshore as well as offshore.

Exploration phase	This is where the oil and gas is searched for using mobile drilling rigs which can be moved from location to location as required. The risks in this phase are both physical in nature to both the rig and the surrounding area (weather-related for example) and the liabilities to people, other property and for pollution should there be a blowout (an uncontrolled flow of oil or gas to the surface).
Construction phase	Once a viable source of oil or gas is located, a more permanent rig has to be constructed to remain on-site. This insurance will cover the whole construction period, often involving multiple locations around the world, the bringing together of all the parts and the on-site fitting. As with the exploration phase, this type of insurance covers both physical damage and liability risks.
Operational phase	Once a permanent rig has been constructed the rig moves into the ‘business as usual’ phase – and together with the physical damage and liability risks already seen in the exploration and construction phase, additional risks such as war and terrorism have to be considered.

Non-marine insurance

Just as with the marine classes, property/physical damage can be called first party and short tail, and the liability classes can be called third party or long tail.

Property insurance (including construction and onshore energy)

Property insurance

As the name suggests, this is physical damage insurance for buildings, which can include:

- office buildings;
- industrial buildings (including factories and warehouses);
- public buildings (including theatres and libraries);
- retail units of all sizes;
- agricultural buildings; and
- domestic buildings, i.e. houses.

The basic type of property insurance for industrial buildings can also cover machinery, fixtures and fittings within any building – as well as the raw materials before they go into the manufacturing process together with the finished product before shipment.

Stock insurance
This is a physical damage insurance covering stock at the insured's premises. Regular declarations of stock levels must be made to the insurer so that in the event of a claim there is no danger of underinsurance.

Theft insurance
This deals with theft involving forcible entry to the property, but generally does not cover any claims where forcible entry is not apparent.

Glass insurance
As the name suggests this insurance covers specifically the glass elements of a building.

Goods in transit insurance
It is important to appreciate that this can be a non-marine risk as often as it is a marine risk.

Pecuniary insurances

These insurances are covering monetary loss rather than physical loss or damage and insurance can be purchased for losses arising from a wide range of internal and external perils.

Money insurance applies to the risks of money and valuable documents such as tickets and vouchers which are the responsibility of the insured anywhere in the world. As with theft insurance, money insurance does not respond if there is any suggestion of an 'inside job'. Additionally, there will be requirements for vehicles to remain attended at all times.

Fidelity guarantee insurance responds to fraudulent acts committed during the policy period. (Note that fidelity means faith or trust.)

Construction insurance

Contractors all risks (CAR) and **erection all risks (EAR)** policies are a combination of physical damage and liability cover. CAR policies are usually purchased by the main contractor on behalf of other sub-contractors and EAR policies are purchased by the contractor responsible for putting up or installing machinery, or steel structures of any type.

Onshore energy insurance

Midstream insurance covers pipelines and downstream covers the refining and petrochemical processing elements of the business. It is important to appreciate, however, that the onshore energy business does not solely incorporate elements related to oil and gas, but can also include mining, power generation risks (including nuclear power stations) as well as renewable energy sources such as hydroelectric power, wind farms, solar energy and biofuel plants.

In terms of the coverage available, it is broadly similar to a construction or property risk, taking into account the specialist nature of the property insured and the issues relating to the construction of such facilities.

Cyber insurance

Cyber policies can cover the following types of exposure:

- Business interruption.
- Reputation protection (for example, by dealing with the costs and logistics of communicating with customers whose data might have been taken).
- Payment of ransoms where extortion is involved.
- Practical support, such as crisis management personnel, liaison with regulators, legal advice.
- Physical damage to systems.
- Regulatory investigations (for example, in relation to a breach of GDPR requirements).
- Directors and officers liability.
- Contingent business interruption (where your business is stopped because one of your suppliers has been hacked).

Business interruption insurance

Business interruption (BI) insurance serves to replace lost income after a waiting period (usually expressed in days as per the marine 'loss of earnings' policy).

Basic BI insurance requires physical loss or damage to the insured property which triggers the shutdown and consequent loss of income.

It is always possible, however, that the shutdown of a factory or other facility may have been caused by a problem located outside the actual property itself.

A separate policy or extension of coverage known as a 'contingent business interruption' has been developed which requires evidence of a link between damage to an external party and the insured shutdown, but not damage to owned property.

Advanced loss of profits (ALOP) and delay in start-up (DSU) insurance

In all types of major construction projects, time is of the essence. As a result, there are penalty clauses in the various contracts and sub-contracts which cause significant financial pain if invoked.

Loss of profit and debt servicing cost provisions and the costs of working overtime (known as increased costs of working) can be insured and are found both in marine and non-marine insurances.

Non-marine liabilities (also known as casualty)

There are various types of liability insurance available in the London Market, including:

Employers' liability	A compulsory form of insurance in the UK and its US equivalent, known as 'workers' compensation', is also compulsory.
Public liability	Covers any party who is liable for loss or damage caused to members of the public visiting their premises, or for any loss or damage caused by an employee to a client or member of the public. A good example might be an underwriter visiting a broker's office and tripping over something.
Professional liability	Covers professionals such as lawyers, doctors, accountants, stockbrokers against the risk of a claim being made against them for incorrect advice or negligent activity.
Motor liability	Motor insurance for standard individual motor risks is not generally written in the London Market – rather by different divisions of the insurance companies or by service companies linked to the syndicates.
General liability	Can cover a number of different areas of liability and can be purchased either as a freestanding policy or in addition to a physical damage or construction type policy.
Products liability	As the name suggests, this insurance relates to a product causing physical damage to something or injury to someone (personal or bodily injury). The insurance is not, however, only available to the manufacturer of a product but to any party in the manufacture, sales, supply and distribution chain.

Bloodstock and livestock insurance

This is not pet insurance – which is not generally written directly in the London Market, but insurance on animals that are used for business.

- **Bloodstock** means horses, generally racehorses and other types of competition horses such as show-jumpers.
- **Livestock** can cover many other animals such as alpacas, cows, sheep, llamas, camels and even fish farms.

The main risk is the death or illness of the animal. Insurance can be purchased to pay out only if the animal dies (or has to be humanely euthanised) or wider cover to pay for major medical expenses. As with all types of insurance there are some things that are excluded, and for livestock and bloodstock this can include certain illnesses or conditions, or situations where the animals are not properly looked after.

This basic cover can be extended to cover infertility of a stallion or a mare when put to stud following their retirement and any prospective foals that are due to be born.

Contingency insurance

This includes event cancellation, weather-related insurances, prize indemnity, death and disgrace and over-redemption.

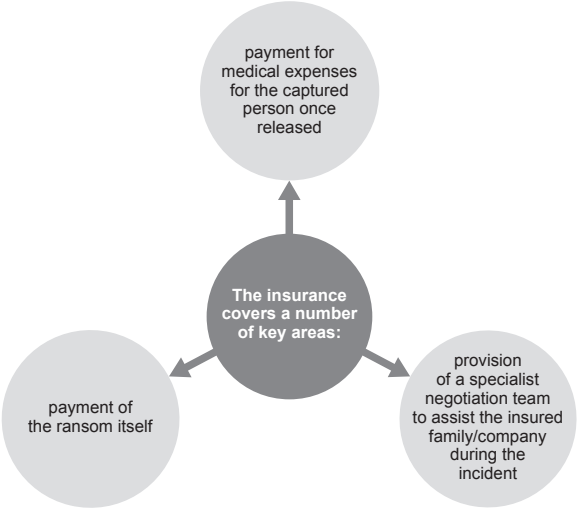
Personal accident insurance

This insurance is triggered by an accident. However, it is not a policy of indemnity as it is not possible to put a price on the loss of a hand, a leg, sight or hearing. Instead, the policy has a schedule of benefits which are paid out should the policy be triggered.

A lump sum payable on death is another feature that can be built into these policies.

Kidnap and ransom insurance

Kidnap is the capturing of a person and then demanding payment or a ransom for their release.



Malicious product tamper, extortion and product recall insurance

If a retailer identifies a safety issue with one of its products (e.g. a supermarket discovers glass in one of its food lines). Warnings have to be sent out to the general public, stock has to be removed and destroyed and the brand image maintained as far as possible. In addition, a regulator might order a recall of products because of a suspected problem. The challenge here is that there might not have been any

loss or damage, but the insured is working to maintain their reputation.

Intellectual property insurance

Intellectual property is the technical term for the rights that companies and individuals have to their work or their inventions.

Inventors patent their inventions legally to protect their rights to use them and more importantly make money from them. Should someone try and interfere with your rights then you can sue them but this costs money.

Intellectual property insurance primarily covers the legal costs of defending an action against your intellectual property, or alternatively if you are alleged to have interfered with someone else's intellectual property rights.

Aviation insurance

Physical damage insurance

There are different types of aircraft and flying objects which present different risks to the insurers, as follows:

- Private pleasure fixed wing aircraft.
- Commercial fixed wing aircraft.
- Rotary aircraft.
- Gliders.
- Microlights.
- Hot air balloons.
- Unmanned aerial vehicles or drones.

These types of aircraft/flying machines can be insured for physical damage. Just as with other types of physical

damage insurance, aviation insurers will not cover wear and tear losses.

Aviation liabilities

The coverage given under the standard aviation policies for airlines falls into three main categories of passengers, third parties other than passengers and products-related liabilities.

Employers' liability for injury to aircrew would be covered under a standard employers' liability policy – there is no need for a specialist aviation version.

Loss of licence/loss of use insurance

Loss of use insurance provides a replacement income stream, after a waiting period measured in days (with a maximum sum payable per day).

Additionally, 'loss of licence' insurance is available within the aviation market, which generally deals with an individual who has failed their medical – resulting in the loss of licence to operate in their role as aircrew or air traffic controller.

Airport operators' policies

These policies combine both physical damage and liability insurances and fall generally into three areas of coverage:

Premises liability	Someone falling over in the duty-free shop would be reported here, although it should be noted that if there were no negligence on the part of the insured, there would not necessarily be a claim.
Products liability	If the airport provides fuel for the aircraft.
Hangar-keepers' liability	If the airport provides maintenance or storage services for clients. You do not need to actually have an aircraft hangar!

Reinsurance

Reinsurance is still a contract of insurance but the entity buying the policy is itself already an insurer and is buying the reinsurance for itself in order to transfer some of the risks it has underwritten through risk transfer from the original or direct insureds.

What is reinsurance?

It can best be summarised in the form of an equation:

Insurer paying premium to reinsurer to transfer risk	=	reinsurer accepting transfer of risk from insurer along with the premium

Reinsurers can be organisations that also operate as insurers (i.e. they 'write insurance') or they can be organisations that specialise in writing reinsurance (with perhaps a very small portfolio of insurance on the side).

It is also possible to have more than one insurer and/or reinsurer at each point in the chain. The London Market is a subscription market which means that more than one insurer generally shares each risk.

There are many different ways of buying reinsurance, in terms of the breadth of cover. This can be described as reinsurance covering:

- a single risk – often used for unusual risks that the insurer is writing;
- a certain class of business – for example, all business written as property, or marine cargo;
- the insurer's whole portfolio of business; or
- catastrophe losses.

Purpose of reinsurance

Reinsurance has not been made compulsory (certainly in the UK), although the purchase of appropriate reinsurance is viewed by the regulators as good business practice.

The purchase of reinsurance does not remove the insurer's obligation to pay valid claims under the original insurance policy. Therefore, should the reinsurer used become insolvent, this is a business risk that the insurer itself faces and should not impact on the original insured.

Benefits of purchasing reinsurance

Increasing capacity

By purchasing reinsurance, the underwriter can increase the individual share of any one risk that they can accept as a direct insurer which will have the knock-on effect of helping increase their status and market share overall.

Smoothing peaks and troughs

Insurers are keen to ensure that their trading results each year show gradual trends, rather than high peaks or deep troughs. Importantly, investors prefer to see stability in insurance companies.

Reinsurance helps by spreading the cost of very large losses over a period of time.

Benefits of writing/selling reinsurance

Accessing other geographical areas	Often the restrictions are placed on insurers writing direct business, so by writing reinsurance it is possible to widen the geographical scope of the business.

Accessing other classes of business	Writing reinsurance is a good way of 'testing the water' in relation to new classes of business with a limited exposure in terms of capital expenditure.

Sellers of reinsurance

The main types of reinsurer are:

- specialist companies that do not write any direct insurance at all;
- Lloyd's syndicates; and
- insurers who also write reinsurance as well as direct business.

Reinsurers accept risks either directly from the insurer (also known as the reinsured) or through a reinsurance broker. They provide reinsurance for:

- insurance companies;
- captive insurers; and
- other reinsurers.

The main reinsurance markets – other than London – are Bermuda, the US and Europe.

Buyers of reinsurance

Some of the main buyers of reinsurance are insurers and reinsurers; however, there are some additional categories of buyer, namely captive insurers and mutuals.

Captive insurers	A captive insurance company is one set up as part of a larger commercial organisation and it takes risks only from its parent company or group. Obviously, the parent company should fund the captive properly and ring-fence funds to deal with claims, but another way of protecting the captive's financial position is to purchase reinsurance in exactly the same way as any other commercial insurer would.
Mutuals	Mutuals involve like-minded organisations grouping together and forming an insurance pool amongst themselves, often run by professional managers on behalf of the member firms which vary between lawyers, architects and marine liability insurers. Mutuals purchase reinsurance using exactly the same sort of considerations (in terms of extent and type) as a commercial insurer.

Reinsurance terminology

In this section, we are going to cover some reinsurance-specific terminology. The different types of reinsurance are covered in detail in study text *LM2*.

Bordereau(x)	Formatted spreadsheet on which risk and claim information can be presented to reinsurers, typically used for treaty reinsurance.
To cede	The act of sharing the risk with reinsurers.
Cedant	Another word for the original insurer who is passing the risk to reinsurers.
Cession	The share of the risk passed to reinsurers.
Collecting note	The document used to present the claim to reinsurers under an excess of loss contract.

Facultative reinsurance	Reinsurance purchased for an individual risk, generally because it would not fit within any other part of the reinsurance already available. Will only respond to claims arising out of that one risk.
Non-proportional reinsurance	Reinsurance where the premium and claims do not have a direct correlation. The premium will be set more in line with a direct insurance, and the claims will be dealt with on a purely financial basis, rather than on a shared basis. Excess of loss and stop loss are examples of this type. Claims will be paid out in excess of a pre-agreed amount and the coverage works in layers stacked on top of each other. This is known as **vertical protection** and the cedant should consider how high they would like the layers to go in order to give them the protection that they want.
Proportional reinsurance	Reinsurance where the premium and claims are shared between insurer and reinsurer in pre-agreed proportions, such as 30%. In the simplest form of contract there will be no financial limitations, the reference will only be made to proportions but in more complex contracts there will be limits expressed in financial terms relating to the size of the risks that can be shared with the reinsurers. Quota share and surplus treaty reinsurance are examples of this type.
Reinstatement	In non-proportional reinsurance (such as excess of loss) it is possible for the cedant to 'bring the layer back to life' or reinstate it, often by the payment of additional premium. This is known as **horizontal protection**, whereby the cedant has protection if they have more than one large loss within a single year.

Reinstatement premium	The price that the cedant has to pay to reinstate or bring the layer back to life. It might be free, but is usually a stated percentage of the original premium for that layer.
Retrocedant	A reinsurer obtaining reinsurance for itself.
Retrocession	A cession where the entity ceding is already a reinsurer.
Retrocessionaire	A reinsurer accepting reinsurance from an entity that is itself a reinsurer.
Treaty reinsurance	Reinsurance that can be purchased to cover a wider portfolio of risks, either a class of business or even an insurer's whole book of business.

4

The insurance cycle

Supply and demand

What is meant by supply and demand?

The principle of supply and demand is relevant for any seller or supplier; it is the relationship between the price of the commodity and the quantity traded.

The ideal balance is that the quantity supplied equals the quantity demanded; known as **equilibrium**.

Tools to manage supply and demand

These include historic and current information, competitive **pricing** and exclusivity of the product.

Pricing impact on supply and demand

Necessities versus luxuries

Products can be divided broadly into necessities and luxuries which has an impact on their demand and whether they are purchased at all. Insurance would not generally be called a luxury as there are many situations where the buying of insurance is either obligatory or required as a term of

doing business (i.e. as a prerequisite for obtaining a loan to purchase a building or a ship).

If an item is a necessity, then a change in price will potentially have less impact on demand than if the item is a luxury.

Price elasticity of demand

Put simply, if the price of a product or service goes up the demand for it goes down. The ‘elasticity’ element is working out how much the demand goes down as the price goes up.

Achieving equilibrium

If demand is present for a certain product, there are three types of status that can be used to describe the marketplace:

- **Equilibrium**: there is just enough supply to meet demand.
- **Under-supply**: there is not enough supply to meet demand.
- **Over-supply**: there is more than enough supply to meet demand.

Supply and demand in the insurance marketplace

Why new insurers join the market

New insurers join the insurance marketplace if they think that there is greater demand than there is current supply, i.e. that the insurance marketplace is not in equilibrium and there is under-supply. The new insurers think they can make a profit by increasing supply.

By entering the market, the increased investment or capacity in that area of the market increases the supply of goods

(whether ice creams or insurance coverage) and this has an impact on price.

If insurers start to compete for business and try to maintain their market share (because there is more supply than there is demand) then one of the easiest areas in which to compete is price.

Why insurers leave the market

The main reason that insurers leave the market is that they suffer large losses, which leads to lower profits (or no profits at all).

Impact on rates of new market entrants and leavers

When an over-supply is rebalanced, it is possible that it will swing too far the other way and the supply becomes too low to satisfy demand. This means that the sellers can control the price more readily and prices will go up.

The increase in price will lead generally to profits and those outside the market will think it is now a good time to join (either again or for the first time).

A hard market is one where there is an excess of demand over supply and one where insurers have more ability to influence rates due to less capacity. Conversely, a soft market is one where there is an excess of supply over demand and it is far more difficult for insurers to push prices up.

Reasons why the insurance cycle might vary

Legal and political influences

- The law might be changed to make more or fewer types of insurance compulsory.
- The law might change to extend liabilities for which insureds can be found responsible – even during the currency of a policy.
- The ability of the market to write business in certain parts of the world might be increased.

Impact of major events

The World Trade Center loss in 2001, as well as the 2005 and 2017 hurricanes in the Gulf of Mexico, were some of the largest losses to hit the London insurance market.

The general impact of these events is to shorten the insurance cycle as they accelerate the reduction in individual players (i.e. supply is less) in certain areas of the market, thus permitting significant increases in premiums.

Weather-related events have an impact on insurers. The uncertainty that this produces can drive insurers away from certain classes of business in a way that will also impact the cycle.

In 2020 the international insurance market faced one of the largest and most disruptive events in its history with the COVID-19 pandemic. This situation presented significant insurance losses in many different classes, particularly contingency due to cancellation of major events such as the Olympics and the Euro 2020 football tournament. A number of insurers have already decided not to carry on in that class.

5

Structure of the London Market

Lloyd’s Market

Market structure and features

The first and most important thing to appreciate is that Lloyd’s is not an insurer. Instead it is a marketplace. It is also a world-renowned insurance brand, without ever actually providing any insurance itself.

Lloyd's of London is a Society of Members; and the Corporation of Lloyd's provides the infrastructure for the marketplace together with a responsibility for international liaison.

Under the **Lloyd's Act 1982**, the **Council of Lloyd's** was created and is responsible for the management and supervision of the Market. Lloyd's is a dual regulated institution, with both the Society of Lloyd's and Lloyd's managing agents being regulated by both FCA and PRA, whereas Lloyd's brokers and members' agents are solely regulated by the FCA.

The Council typically has three working, three external and nine nominated members.

The Council can discharge some of its functions directly by making decisions and issuing resolutions, requirements, rules and byelaws. Only the Council can make byelaws, even though it devolves authority to other bodies and committees within Lloyd's.

Syndicates

Syndicates are the groups of private individuals or corporate investors who carry the risks (i.e. they provide the financial backing). Both types of investor (individual or corporate) are known as underwriting members or ***Names***.

Syndicates have an unusual status under English law as they have no separate legal existence and are merely a sum of their parts (the members), unlike a limited company which exists as a separate legal entity distinct from its shareholders.

Syndicates are often described as Annual Ventures since they exist for one year only and, therefore, should be properly identified not only by their name or number but also by the relevant year (known as a 'year of account').

As the syndicates exist only for one year of account, the membership of the syndicate needs to be renewed for each new year of account. This entity is called the managing agent.

Managing agents

Each syndicate employs a **managing agent** and it is that entity which appoints the underwriters who may accept risks on behalf of the syndicate. Managing agents are companies specifically established to manage the underwriting of one or more syndicates.

A managing agent is an authorised person, regulated by the PRA for prudential requirements and by the FCA for conduct of business issues.

Capital and members/Names

Capital is the term used for the investment put into the Market by the investors known as members or Names. In today's Market, the vast majority of the capital is provided by corporate Names rather than individuals, although individual members do still exist.

In order to invest in the Market, prospective members (of either type) must be able to show adequate means in a form acceptable to Lloyd's. In practice, this means that Lloyd's needs to be satisfied that the prospective member should be able to pay any claims made against them.

To appreciate why the pollution, asbestos and health hazard problems were an issue, you need to understand how the annual life of a syndicate works in practice.

- Each syndicate lasts for a year and will accept risks during that year and will be liable for claims arising from those risks.
- The syndicate will, in fact, keep its books open for another 24 months after the end of the year – not only to let premium finish coming in, but also to allow claims to be notified and hopefully resolved, relating to those risks.
- At the end of the third year, the syndicate wants to close its books and work out if it has made a profit or a loss. But what if claims are still notified in the future, or have been notified but have not yet been resolved?

Members' agents

The first role that a members' agent performs is to advise their client on the advantages and disadvantages of investing in the Lloyd's Market, as part of a wider investment portfolio. The member can spread their investment across several different syndicates, not necessarily all managed by the same managing agency.

The members' agent also acts as the communication channel between the member and the various managing agencies running the syndicates in which the member has invested, receiving the regular reports on the profit (or not) made by the syndicate. Every year, the members' agent advises the member as to any changes in the spread of investments for the following year of account.

Company market

Market participants

Many large international insurance and reinsurance organisations have branch offices in the London Market, as well as UK based companies, such as Royal Sun Alliance, which might also have a large UK regional presence.

Marketplace

There is no equivalent in the London company market for Lloyd's in its role as the provider of a physical marketplace.

Regulation

The PRA regulates insurance companies operating in London for prudential requirements (solvency/levels of capital etc.); the FCA regulates them for conduct of business issues. EU companies are regulated by their own home regulator. There is no additional regulation provided for companies in the same way that managing agents and syndicates are subject to Lloyd's regulation. The trade body for the company market – the International Underwriting Association of London – has no regulatory power.

Since the UK left the EU a number of UK companies have had to set up EU based operations, or legally redomicile existing operations to enable them to continue to write and

service European business. This is because an EU based insurer can benefit from the mutual recognition of regulation between EU countries, whereas a UK regulated insurer would have to obtain individual regulatory approval in each country in which it wanted to operate.

International liaison

Lloyd's engages in liaison with overseas regulators on behalf of the whole Lloyd's Market but individual companies have to make this contact with the regulators separately.

Structure of the insurer

Non-Lloyd's insurers can take a variety of formats such as **limited liability companies**, **mutual indemnity associations**, **mutual companies** and **captive insurers**.

Source of capacity

For the limited liability and mutual companies, the shareholders (who are the investors in the company) provide the capital and hence capacity for an insurance company to accept risks and to do business.

Brokers

Brokers are professional intermediaries and act as the agent of the re/insured in both the placing and claims process.

They must be authorised by the regulator (FCA), but brokers can apply to Lloyd's to obtain a second accreditation as a Lloyd's broker. Non-Lloyd's brokers are not prevented from placing business in the Lloyd's market, however.

Managing general agents

A **managing general agent (MGA)** is an organisation which has been given authority on behalf of an insurer to undertake a number of different tasks such as accepting risks, issuing documents or handling claims. The authority is given using a type of contract called a binding authority.

These types of organisations are a very important part of the London Market's overall distribution network, with, for example, over 30% of the annual premium income in the Lloyd's market being received via these business partners.

International aspects of the London Market

Many of the organisations working within the London Market either have their roots or links outside the UK. Many US insurers are now operating in the London Market either as a company or via a Lloyd's syndicate as this provides them with the optimum platform to access business from a worldwide client base. The Lloyd's brand provides value over and above their own corporate brand.

In addition to insurers being international, the business coming into the London Market is also truly international with only a relatively small proportion of business placed in both the Lloyd’s and company markets originating in the UK.

Market associations

Lloyd’s Market Association (LMA)

The **LMA** provides representation, information and technical services to underwriting businesses (i.e. managing agents) in the Lloyd's Market.

The stated purpose of the LMA is to identify and resolve issues which are of particular interest to the Lloyd's underwriting community. The LMA works in partnership with the Corporation of Lloyd's and other partner associations, to influence the course of future market initiatives.

International Underwriting Association of London (IUA)

The **IUA** is the world's largest representative organisation for international and wholesale insurance and reinsurance companies.

An important distinction between the IUA and Lloyd's is that the IUA is solely a representative body and can exercise no control over the activities of its member organisations, whereas Lloyd's does have such ability to control and influence the activities of both insurers and brokers working within that marketplace.

Association of British Insurers (ABI)

The **ABI** is not a London Market body specifically but some insurance companies with London Market operations will also be members.

Broker-related organisations

British Insurance Brokers' Association (BIBA)

BIBA is the major trade association for insurance intermediaries, with a membership of more than 1,800; it is a non-statutory trade body.

BIBA seeks to maintain and improve the highest standards of business behaviour and to protect and enhance the interests of its members for the benefit of the general public.

Its mission statement is: '**To represent and protect the best interests of our insurance broker and intermediary members.**'

London and International Insurance Brokers' Association (LIIBA)

LIIBA is an independent trade body, representing the interests of insurance and reinsurance brokers operating in the London and international markets.

Flow of business in the London Market

London is one of many international insurance markets which are freely available to brokers and insureds to access should they so choose. However, for a number of reasons, London is felt to be a leading world insurance market, as follows:

- Capacity.
- Entrepreneurial spirit.
- Good claims service using knowledgeable personnel.
- History and experience.

Placing a risk

The broker puts a summary of the risk to be placed and the suggested terms and conditions onto a document called a Market Reform Contract (MRC; still known as a 'slip').

Both Lloyd's and the London Market, in general, have adopted specific procedures designed to ensure that all parties are fully aware of the coverage and terms of the policy before a risk starts to be covered. This was originally developed as part of an initiative known as 'London Market

Principles (LMP)' but has been widened to the whole market and is referred to as **contract certainty**.

The following definition for contract certainty has been agreed:

> Contract certainty is achieved by the complete and final agreement of all terms between the insured and the insurer by the time that they enter into the contract, with contract documentation provided promptly thereafter.

To outline, the full wording must be agreed before any insurer formally commits to the contract. The market has decided that appropriate evidence of cover must be issued within 30 days of inception. This can be a formal policy, a copy of the market reform contract/slip or broker-produced evidence of cover such as a Broker Insurance Document (BID) or similar.

Note the following points:

- For those transactions that involve a broker, the broker obtains a quotation from an underwriter who is a recognised 'leader' in a particular class of business. The key is finding a leader who will both provide a good quotation for the client but who also enjoys the support and confidence of the rest of the market:
  - this underwriter will indicate the percentage share that they will accept and the terms that will apply;
  - a good broker will seek several quotes for the business from a variety of different leaders if available. Once obtained, the broker should advise their client as to any differences between the quotes and offer guidance as to which is the most appropriate, taking into account the client's requirements; and
  - once the customer has decided which quote to accept, then the broker has, what is known as, a firm order for the business.

- Having received the firm order, the Lloyd's broker approaches other underwriters and 'fills' the MRC/slip by obtaining signatures for the shares of the risk that they are each willing to accept.
- Once the MRC/slip is fully placed (in other words, the percentages accepted by each underwriter total the amount of cover required), the risk must then be submitted centrally for recording on the central market database and the premium paid to the London Market insurers.
- The underwriters usually agree that the broker can deduct a certain percentage of the premium (this deduction is called 'brokerage').
- XIS records the risk and premium details on the central market databases for both the Lloyd's and company market underwriters. It facilitates the payment of the premium to both Lloyd's and London company underwriters for the broker.
- A formal policy is not always required, but if one is required the underwriters have the option of producing it themselves or requesting that XIS produce it for them (Lloyd's and companies – the policies will be separate).
- Once the data is recorded and the premium paid, both the broker and the underwriters will get electronic messages from XIS with data about the risk.

Presenting a claim

Note the following points:

- Once the broker receives a claim notification from their client they need to identify the correct combination of insurers that are required to see and agree the claim (they are called the Agreement parties). The London Market operates under a set of claims-handling agreements (one set for Lloyd's and one for the IUA).

- The broker then decides whether they wish to present the claim in paper form or electronically using an Electronic Claims File.
- The broker presents the claim and the data is circulated to all the London Market insurers participating on the risk (even those who are not involved in the claims handling/ agreement process) using Xchanging systems.
- If the insurers instruct any experts this is often done through the broker and the broker acts as a conduit to pass on information and reports between the insurers and the experts as well as the insurers and the clients (insureds).
- If there are any settlements to be made, then once the correct combination of underwriters (known as the Agreement parties) have agreed to the presentation, the money again moves electronically from the insurers' bank accounts to the broker (or perhaps directly to a third-party expert such as a lawyer depending on the claim).
- Electronic messages are sent to both insurers and the broker by the Xchanging systems – detailing the transactions, the claims attached and the applicable policy references.
- Once the broker receives any claims monies they forward them to their client to finalise the claim.

6

Legal and regulatory environment

Overview of the UK regulatory framework

The UK regulatory framework for financial services consists of three regulatory bodies:

Financial Conduct Authority (FCA)

- Separate independent regulator responsible for conduct of business and market issues for **all** firms and prudential regulation of small firms, like insurance brokerages and financial advisory firms.
- Focused on taking action early, before consumer detriment occurs.
- Shift towards thematic reviews and market-wide analysis to identify potential problems in areas such as financial incentives.
- Reviews the full product lifecycle from design to distribution with the power to ban products where necessary.

Prudential Regulation Authority (PRA)

- Sits within the Bank of England and is responsible for the stability and resolvability of systemically important financial institutions such as banks, building societies and insurers.

- Will not seek to prevent all firm failures but will seek to ensure that firms can fail without bringing down the entire financial system.
- Will place emphasis on ‘judgment based’ approach to supervision focusing on: the external environment, business risk, management and governance, risk management and controls and capital and liquidity.

Financial Policy Committee (FPC)

- A committee within the Bank of England responsible for horizon scanning for emerging risks to the financial system as a whole and providing strategic direction for the entire regulatory regime.

Operation of the FCA and PRA

Operation of the Prudential Regulation Authority

Objectives of the PRA

The PRA has a primary objective to ‘**promote the safety and soundness of PRA regulated persons**’.

Its secondary objectives require the PRA, 'so far as reasonably possible', to act in a way which facilitates:

- effective competition in the markets for services provided by PRA-authorised firms;
- the UK economy's international competitiveness and its growth over the medium to long term, subject to alignment with international standards.

In addition to the statutory objectives, the PRA's strategy is shaped by other responsibilities, such as the requirement to implement legislation and other changes necessary to meet

international standards, and to continue to adapt to market changes in areas such as financial technology (FinTech), climate change, and digitalisation.

Additionally, the PRA has very specific objectives and responsibilities in relation to the insurance industry which are:

- ‘Contributing to the securing of an appropriate degree of protection for those who are or may become policyholders’.
- ‘An appropriate degree of protection for the reasonable expectations of policyholders as to the distribution of surplus under *with-profits policies*’.

Threshold conditions

Every firm regulated by the PRA, such as insurers, must meet minimum conditions before it will be permitted to carry on regulated activities. These are designed to promote safety and soundness and include:

- A firm’s head office, and in particular its mind and management, to be in the United Kingdom.
- A firm’s business to be conducted in a prudent manner – and that the firm maintains appropriate financial and non-financial resources.
- The firm itself to be fit and proper and be appropriately staffed.
- The firm and its group to be capable of being effectively supervised.

Risk assessment framework

The PRA’s framework involves three elements:

- Potential impact on policyholders.
- The macroeconomic and business risk context in which the firm operates.
- Any mitigating factors including risk management and governance.

Operation of the Financial Conduct Authority

Objectives

The FCA has an overarching strategic objective to ‘ensure that the relevant markets function well’.

It also has three operational objectives:

- **Consumer protection**: securing an appropriate degree of protection for consumers.
- **Integrity**: protecting and enhancing the integrity of the UK financial system.
- **Competition**: promoting effective competition in the interests of consumers in the markets for:
  - Regulated financial services.
  - Services provided by a recognised investment exchange.
  - There is also now a secondary objective which is to facilitate the international competitiveness and growth of the UK economy in the medium to long term.

In addition, both the FCA (and the PRA) must have regard to:

- Efficient and economic use of resources.

The FCA also has responsibility for the Financial Ombudsman Service and the Financial Services Compensation Scheme.

The FCA's involvement in authorisations and approvals

The FCA focuses on the proposed business model, governance and culture, as well as the systems and controls the firm intends to put in place, especially over:

- product governance;
- end-to-end sales processes; and
- prevention of financial crime.

The FCA works closely with the PRA in considering applications to approve individuals to roles which have a material impact on the conduct of a firm's regulated activities.

FCA approach to regulation

The FCA's competition objective means that it wants firms to innovate and produce new products but will be watching for those types of innovation that exploit customers as contrasted with those that genuinely meet customers' needs.

FCA approach to supervision

The general principle is that businesses are encouraged to base their business model, culture and day-to-day running on the ethos of treating customers fairly. The FCA defines firms as either 'fixed portfolio' or 'flexible portfolio' firms and their regulatory approach differs between the two in practical terms.

Fixed portfolio firms are a small population of firms (out of the total number regulated by FCA) that, based on factors such as size, market presence and customer footprint, require the highest level of supervisory attention. These firms are allocated a named individual supervisor, and are proactively supervised using a continuous assessment approach.

The majority of firms are classified as **flexible portfolio** firms. These are proactively supervised through a combination of market-based thematic work and programmes of communication, engagement and education activity aligned with the key risks identified for the sector in which the firms operate. Flexible portfolio firms use the FCA Customer Contact Centre as their first point of contact with FCA as they are not allocated a named individual supervisor. Contact Centre staff should have the expertise to deal with the majority of issues and queries, and these will be passed onto the appropriate supervision area where necessary.

Risk framework

The FCA approach to advancing their objectives is judgment led and informed by five key principles which are:

- **Forward-looking** – to pre-empt poor conduct so that the risk and harm does not materialise, by assessing business models to identify emerging risks.
- **Outcomes-focused** - where systematic harm is spotted, moving quickly to stop the harm occurring, getting firms to address the drivers of harmful culture and getting redress for affected customers.
- **Proportionate and evidence-led** – focusing work on he key drivers or conduct likely to cause harm and on firms judged to pose the greatest risk to the FCA objectives.
- **Transparency** – engaging directly wih consumers and their representatives to understand issues faced.
- **Integrated and coordinated** – ensuring teams work together across all functions to share information and reach robust decisions, as well as working with international regulators.

What can the FCA do if it finds problems?

The FCA can take a number of steps in response to issues including but not limited to:

- banning products in the retail sector;
- withdrawing misleading financial promotions; and
- fining or prosecuting individuals and organisations.

Who will the FCA be answerable to?

It will have to put in place four statutory panels representing the view of consumers, regulated firms, smaller regulated firms and market practitioners.

Practical matters relating to both the FCA and PRA

FCA Handbook and PRA Rulebook

The two reference documents are the **FCA Handbook** and **PRA Rulebook**. These contain material that was inherited when the FCA and PRA replaced the previous regulator in 2013, together with additional material created as required to reflect more recent changes, including the UK leaving the EU.

Working together

There is a statutory duty for both the FCA and PRA to work together and to co-ordinate their activities, to have a cross membership of their various boards, and to create a memorandum of understanding of how they are interlinked.

Principles for Businesses (PRIN)

There are twelve Principles for Businesses that have to be met. These Principles are now part of both the PRA Rulebook and FCA Handbook, as follows:

Principles for Businesses (PRIN)	
Principle	**Detail**
1. Integrity	A firm must conduct its business with integrity.
2. Skill, care and diligence	A firm must conduct its business with due skill, care and diligence.
3. Management and control	A firm must take reasonable care to organise and control its affairs responsibly and effectively, with adequate risk management systems.
4. Financial prudence	A firm must maintain adequate financial resources.
5. Market conduct	A firm must observe proper standards of market conduct.
6. Customers' interests	A firm must pay due regard to the interests of its customers and treat them fairly.
7. Communications with clients	A firm must pay due regard to the information needs of its clients and communicate information to them in a way which is clear, fair and not misleading.
8. Conflicts of interest	A firm must manage conflicts of interest fairly, both between itself and its customers and between a customer and another client.
9. Customers: relationships of trust	A firm must take reasonable care to ensure the suitability of its advice and discretionary decisions for any customer who is entitled to rely upon its judgment.
10. Clients' assets	A firm must arrange adequate protection for clients' assets when it is responsible for them.

Principles for Businesses (PRIN)	
11. Relations with regulators	A firm must deal with its regulators in an open and cooperative way and must provide appropriate disclosure to the FCA in respect of anything relating to the firm of which the regulator would reasonably expect notice.
12. Consumer Duty	A firm must act to deliver good outcomes for retail customers.
Note: The PRA applies Principles 1 to 4, 8 and 11 only. © Financial Conduct Authority	

Separate sections in the FCA Handbook and PRA Rulebook develop each of these themes more fully. Some principles are expected to be embedded in a firm's operations and procedures and effectively be business as usual, e.g. ***fair treatment of customers***.

Fair treatment of customers

The customers are the key to an insurer or a broker's success and without them the organisation would find it difficult to survive. Investors want to receive a return on their equity and to ensure this is achieved, the organisation needs to make a profit. However, to do so at the expense of the customer base, regardless of size, would not be a particularly successful ongoing business model. This is particularly the case in a marketplace which is generally oversupplied with insurance capacity, thus allowing customers the opportunity to take their business elsewhere.

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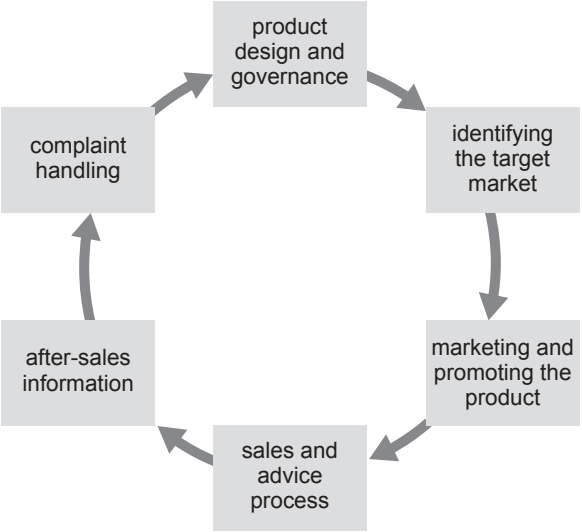
case in a marketplace which is generally oversupplied with insurance capacity, thus allowing customers the opportunity to take their business elsewhere.

Principle 6 states that ‘a firm must pay due regard to the interests of its customers and treat them fairly’.

The FCA expects those authorised to be able to show consistently that fair treatment of their customers is at the heart of their business model. They have defined this to mean addressing the fair treatment of customers throughout the product life-cycle, as follows:



‘Fairness’ covers a series of values and depends on the specific circumstances of each case. The FCA’s principles-based approach means there is no prescriptive checklist for compliance with this requirement. However, it has issued

guidelines on what is (and what is not) appropriate behaviour. Remember that the FCA's primary focus is the protection of consumer customers rather than large commercial clients who are expected to be more sophisticated in their knowledge both of insurance and the products on offer.

Vulnerable customers have been of particular focus in recent years. The COVID-19 pandemic highlighted that a customer might become **temporarily vulnerable** at a particular point in because of other external factors such as illness or bereavement, as well as being **vulnerable on a more permanent basis** through factors such as language barriers.

A firm, whether it's an intermediary or insurer dealing directly with clients, must develop procedures out of an adequate knowledge of the markets and its particular expertise in creating appropriate solutions for its clients.

For all clients, it is necessary to understand their needs and to meet those needs with the most appropriate product.

When developing a new product the FCA requires a firm to identify its inherent level of risk. It is the FCA's view that customers should not be exposed to unsuitable or unidentified risks arising from a newly developed product.

Consumer Duty

The Consumer Duty sets out the standard of care that regulated firms should give to their retail customers. The aim is to protect customers from current and emerging risks that can cause them harm in terms of their engagement with insurers, but also allows insurers to be flexible and dynamic in their development of new products and innovative ideas generally.

The Duty has a number of elements:

- The **Consumer Principle**, which is added to the existing Principles for Businesses – 'A firm must act to deliver good outcomes for retail customers'.
- **Cross-cutting Rules** which set out more detail of the FCA expectations in how firms should act to deliver good outcomes and to help firms interpret the outcomes.
- **Four outcomes** which are a set of more detailed rules and guidance in four key areas:
  - The governance of products and services.
  - Price and value.
  - Consumer understanding.
  - Consumer support.

The analysis done by the FCA of whether a firm has been compliant will be considering a number of variables such as the nature of the product, the degree of financial capability of the customer, and the role that the firm played in the distribution chain.

The Consumer Duty came into effect on 31 July 2023 for new or existing products and services but firms had until 31 July 2024 to bring it into effect for closed product and services.

Senior Management Arrangements, Systems and Controls (SYSC)

These provide greater definition of Principle 3. Every regulated firm must take reasonable care to share out the significant responsibilities within the firm between its directors and senior managers so that:

- it is clear who has which responsibility; and
- the business of the firm can be adequately monitored and controlled by the directors, senior managers and the board.

There is a requirement within SYSC for insurers and intermediaries to appoint a money laundering reporting officer (MLRO) who has overall responsibility within the firm for the establishment and maintenance of effective anti-money laundering systems and controls.

Also within SYSC is the Senior Managers and Certification Regime (SMCR).

Public Interest Disclosure Act 1998 (PIDA)

The **Public Interest Disclosure Act 1998 (PIDA)** concerns 'whistle-blowing', which is the public allegation of a firm's concealed misconduct, usually from within the same organisation.

The Act was born out of a desire to encourage a culture of openness within an organisation on the basis that prevention is better than cure.

Firms are encouraged by the FCA to adopt appropriate internal procedures encouraging workers to 'blow the whistle' internally when they are concerned about FCA-related matters.

Environmental, social and governance (ESG)

This concept is far wider than just concerns about climate change, albeit that is a major part of it. From regulators down to individual stakeholders such as investors or customers, there is an increasing need for businesses to consider both their own strategy and also how the strategy of their clients or business partners, impacts their willingness to do business with them.

The FCA is supporting the financial sector in driving positive change, including the transition to net zero and wider sustainability issues. Ongoing work in 2024–25 includes:

- integrating the Sustainability Disclosure Requirements and Investment Labels across the market, including the anti-greenwashing rule and guidance;
- expanding the regime, starting with a consultation on Portfolio Management in 2024;
- continuing to engage on new and emerging risks with UK and international partners; and
- progressing its work on Transition Finance and preparing to have regard to a 'Nature' regulatory principle coming into force.

The Lloyd's ESG agenda falls into four main areas:

- Strategy and governance.
- Climate.
- Culture.
- Communities.

Overseas regulation

Companies writing business overseas

Generally speaking, if an insurance company based in London wishes to write business in another country it must be admitted by the regulator in that country and as a requirement of admittance often has to set up offices, employ staff and incur capital expenditure in the start-up of the new office.

If an insurer is authorised in one country within the EU, known as its ‘home state’, then it can operate freely in all other EU countries – presenting a slight advantage for the EU over other territories as a location for investment. This

system is known as ‘home state financial regulation’ and works on the basis of the regulators in each EU country respecting the regulatory work of their colleagues in the other countries and not feeling the need to repeat the work.

Companies writing business in the USA

Insurance regulation in the USA is left to individual states to manage and hence insurers from outside the USA must obtain permission multiple times to access business emanating from across the USA.

Lloyd’s writing business overseas

The Lloyd's Market enjoys an unusual position as Lloyd's itself undertakes to obtain permission from international regulators – and that central permission for the Lloyd's Market applies to any syndicate operating within that Market.

The Lloyd’s Market does not have permission to write all types of business in every country and in some countries, only reinsurance business (not direct insurance) can be written.

Lloyd’s writing business in the USA

The same provisions concerning individual state regulation apply equally to Lloyd’s as to companies. In the USA, Lloyd’s has obtained centralised authority for the syndicates to write business.

In all other locations in the USA, Lloyd's has – for direct business – what is known as surplus lines status. Insurance companies can also have this status.

Lloyd’s is fully authorised in all 50 states to accept reinsurance business with no limitations.

Satisfying overseas regulators

As a condition of granting Lloyd's licences to write business coming out of their country, most regulators impose a number of requirements, generally centred around reporting and the payment of various taxes. These requirements are also imposed on any companies given authority; however, the key difference is that Lloyd's does the reporting centrally on behalf of all the syndicates but each insurance company has to report to the regulators individually.

The reporting requirements vary dramatically from country to country, for example:

- Some countries are only interested in the category of risk:
  - direct, facultative reinsurance, excess of loss reinsurance or proportional treaty reinsurance.
- Some countries are interested in far more information such as:
  - location of the risk;
  - location of the broker;
  - services or establishment business;
  - tax payable (varying rates possible);
  - other charges payable such as fire brigade charges; and
  - the category of the risk.

Insurers that are both Lloyd's syndicates and insurance companies

As we saw earlier, any insurer that has both a Lloyd's syndicate and an insurance company within its group has to consider for each risk that it reviews whether it is authorised to write that risk – both by the local regulators and also by any overseas regulators that might have an interest.

Lloyd’s Market governance

The Society of Lloyd’s and managing agents are regulated by both the FCA (for conduct of business) and PRA (for prudential requirements) whereas brokers and members agents are regulated by the FCA for both aspects.

The rules that apply to all other regulated insurers also apply to Lloyd's.

Lloyd’s is required to undertake the following:

- Ensure that all participants in the market are made aware of their obligations.
- Create and maintain controls over the risks to which the Lloyd’s Market is exposed and thus impacting on funds held and managed centrally. In 2018, Lloyd’s exercised those controls by refusing some syndicates permission in whole or in part to write the business that they wanted to in 2019.
- Measure and assess the capital needs of each member or Name. The capital need is measured by looking at a member’s involvement in various syndicates across the market; it also takes into account the various types of business in which the syndicates they support are engaged.

The managing agents are obliged to undertake the following tasks:

- File an annual solvency test return (showing that their assets constantly exceed their liabilities to the required level).
- Assess the capital needed in order to engage in the insurance business planned for each syndicate under their control.

- Put into place and maintain controls over risks that relate to the day-to-day insurance business such as market risks and credit risks.

Lloyd's governance structure

Council of Lloyd's

The Council of Lloyd's remains the governing body of the Lloyd's Market (or to put it more correctly the Society of Lloyd's). It has the following powers:

- rule-making power – can create market 'laws' known as byelaws;
- management and superintendence of all affairs of Lloyd's;
- right to exercise any of the powers of the Society of Lloyd's; and
- power to direct the insurance business at Lloyd's.

Certain activities that only Council holds final decision making authority on include:

- making or changing byelaws;
- setting the long-term strategic development of the market;
- deciding contribution levels to Lloyd's Central Fund (covered in more detail in study text *LM2*);
- deciding the amounts of members' (Names') annual subscriptions;
- appointing members of Council and members of the committee of the Council; and
- reviewing budgets and plans.

Rules operating within Lloyd's

As mentioned earlier, Lloyd's is permitted to create some laws that govern the operation of the marketplace. These laws come in two forms:

Byelaws and regulations	These are known as **primary rules** and set out the fundamental concepts.
Requirements	These are known as **secondary rules**; they contain the detail of what needs to be undertaken to comply with the primary rules. They are also structured in such a way as to allow efficient updating and amendment if required, even if the actual byelaw remains the same.

Lloyd's often issues additional guidance to either type of rules called Explanatory Notes; these are not rules but should be read alongside the rules to aid interpretation. They also issue Codes of Practice which provide operational detail as to compliance with the Rules.

Lloyd's can take enforcement proceedings in relation to any behaviour that it regards as a breach of any Rules or bringing discredit to the Market. This is known as having enforcement jurisdiction. The FCA also has disciplinary functions should any of its rules be breached and the two parties work together so as not to duplicate each other's functions in this area.

Anyone working within the Market, whether for managing agents, members' agents or involved through being a member is covered by the enforcement jurisdiction of Lloyd's. The jurisdiction covers the companies as well as the individual staff employed by them. The penalties that Lloyd's can impose range from fines through to lifetime bans from the market.

Authorisation of new insurers

Any UK domiciled company wishing to transact insurance must be authorised by the UK regulator (PRA) to do so. To gain this authorisation, the regulator must be satisfied that the company complies with its requirements. The objective

is that only companies operated by 'fit and proper' persons should be authorised to transact business. In brief, the regulator has the power to authorise a company to transact general business and can also restrict authorisation to specific classes of general insurance, such as accident, damage to property or general liability.

Companies based outside the UK, but in a Member State of the EU, and wishing to transact business in the UK also satisfy the PRA because they can no longer rely on the mutual recognition of their home state regulation as the UK is now outside the EU.

For corporate newcomers to the Lloyd's Market, three main options for participation are available, as follows:

- Set up a new corporate member or Name to participate in syndicates that already exist.
- Set up a new corporate member or Name and a new syndicate.
- Set up a new corporate member or Name, a new syndicate and its own managing agent to run the syndicate.

The last option is essentially the same concept as setting up a new insurance company – all the elements are in one place.

If someone wants to set up a new business within Lloyd's, then Lloyd's needs to agree as well. In the first instance, it will want an outline briefing covering the main elements of people, plan, capital, reputation and value.

If Lloyd's believes their outline proposal has the potential to meet its entry requirements it will invite them to move to the first formal stage of the process.

Part of the initial requirements for setting up any new insurer, whether it be company or Lloyd's is satisfactory evidence of solvency and capital adequacy; the basic concept here is ensuring that assets always exceed liabilities.

Capital adequacy

A solvency margin is the amount by which assets must exceed liabilities. Each company (and Lloyd's) must maintain a minimum balance between its assets and how much it knows it has to pay or would be likely to pay in liabilities.

Monitoring

Regular monitoring is, therefore, an important supervisory aspect of the work of the regulator.

Each financial year, every authorised insurer must prepare and submit to the regulator as part of the monitoring process the following items:

- **revenue account** – shows the underwriting profit or loss;
- **profit and loss account** – (also known as an income statement) shows the total profit and loss made; and
- **balance sheet** – shows the assets and liabilities of the organisation at any given point in time.

Winding-up

Ultimately, if an insurance company fails to meet its requirements, the regulator can intervene and the company can be wound-up (i.e. the formal cessation of the company). A Lloyd's syndicate can be put into '***run-off***' (which prevents it from taking on any further business).

The policies already in force will usually be allowed to run naturally to their expected expiry. Of course, the insurer's liability does not finish when the policy expires as some types of policy will have claims that take a long time to be concluded, such as liability insurances with personal injury claims.

The Financial Ombudsman Service (FOS) and Financial Services Compensation Scheme (FSCS)

Financial Ombudsman Service (FOS)

The **Financial Ombudsman Service (FOS)** is a free, independent and impartial service that deals with unresolved disputes. Membership is compulsory for all authorised firms, including intermediaries.

The full rules and guidance relating to the handling of complaints, and on the operation of the FOS, are contained in the FCA Handbook in the **Dispute Resolution: Complaints (DISP) Sourcebook**. The FCA requires all firms to have a written complaints procedure.

The FOS only deals with disputes from 'eligible complainants'. The list of eligible complainants includes:

- consumers;
- micro-enterprises with fewer than ten employees and a turnover or balance sheet total of no more than €2m*;
- charities with an annual income of less than £6.5m;
- trustees of trusts with a net asset value of less than £5m;
- small businesses with an annual turnover of less than £6.5m and fewer than 50 employees or a balance sheet total of less than £5m; or
- guarantors.

*(This value is in euros as ‘micro-enterprise’ is an EU defined term.)

Before a complainant can take their complaint to the FOS they must have exhausted the internal complaints

procedures within the organisation or intermediary, and still be dissatisfied with the outcome.

The complainant can refer their complaint to the FOS within the earliest of:

- **six months** of the date on the firm's letter advising the claimant of its final decision regarding the complaint;
- **six years** after the event complained about; or
- **three years** after the complainant knew, or should have known, that they had cause for complaint.

Once these have expired, the organisation or intermediary can object to the FOS taking on the complaint on the grounds that it is 'time-barred'. The FOS is able to consider complaints outside these time limits in exceptional circumstances, such as cases involving pension transfers and opt-outs.

The FOS can require the parties to the complaint to produce any necessary information or documents and failure to do so can be treated as contempt of court. All authorised firms must cooperate with the FOS. The FOS must investigate the complaint and aim to answer the complaint within three months. It may give the parties an opportunity to make representations and then hold a hearing. Most disputes handled by the FOS are resolved through mediation or informal adjudication by a caseworker or adjudicator. However, both parties have a right of appeal to the initial outcome, in which case one of the panel of ombudsmen will make a final decision.

The FOS will reach a decision based on what is fair and reasonable in all the circumstances, taking into account the law, FCA rules and guidance and good industry practice, including relevant ABI statements and codes of practice. The FOS is not bound by the law or legal precedent and will make a judgment on the merits of each case. The aim is to ensure that customers are treated fairly and that the law is not used

as an excuse to avoid paying fair claims. However, the FOS does aim to be consistent in the way it deals with particular types of complaints. Redress can be awarded in two ways:

- A '**money award**', telling the firm what specific sum of money it should pay the customer to cover any financial losses they have suffered as a result of the problem they have complained about. The maximum monetary award the FOS can require a firm to make to a complainant is outlined in the following table:

Limit of award	Date complaint referred to the FOS	Date act or omission occurred
£430,000	On or after 1 April 2024	On or after 1 April 2019
£195,000	On or after 1 April 2024	Before 1 April 2019

  The FOS may recommend a higher figure, if appropriate, but this will not be binding on the firm.

- A '**directions award**', telling the firm what actions it needs to take to put things right for its customer. This could include, for example, directing the business to:
  - pay an insurance claim that had earlier been rejected;
  - calculate and pay redress according to an approach or formula set by the regulator; and/or
  - apologise personally to the customer.

The decision (with reasons) must be notified in writing to the complainant and the respondent (the firm about which the complaint is made). The complainant must then accept or reject the decision within the time limit specified by the FOS.

If the complainant accepts the decision it is binding on the respondent. If the complainant rejects the decision it is not binding and they are free to pursue the matter in court. If the complainant does not respond to the FOS's decision letter it

is treated as a rejection and the respondent is not bound by the decision.

The FOS is funded by both:

- a general levy paid by all firms; and
- a case fee payable by the firm to which the complaint relates.

For Lloyd's insurance, there is a Lloyd's complaints department which is the first port of call for a complaint about a Lloyd's policy from an eligible complainant, before the FOS becomes involved.

Financial Services Compensation Scheme (FSCS)

The **FSCS** falls under the control of the FCA and provides compensation for customers of deposit-taking companies and investment firms, as well as for those of authorised insurance companies and intermediaries. It, therefore, covers claims against firms where they are unable, or likely to be unable, to pay claims against them. Usually, this is when a firm has become insolvent or has gone out of business. The scheme was set up mainly to assist private individuals – although small businesses, charities and trusts are also covered, broadly in line with the accessibility criteria for the FOS.

The amount of compensation that a policyholder can receive depends on the type of policy (i.e. whether it concerns compulsory insurance, non-compulsory insurance or long-term insurance).

- Protection is **100%** for:
  - **compulsory insurance (third party motor and employers' liability)**;
  - **professional indemnity insurance**;
  - **long-term insurance (e.g. pensions and life assurance)**; and
  - certain claims for injury, sickness or infirmity of the policyholder.
- Protection is **90%** of the claim with no upper limit for **other types** of policy, including **general insurance advice and arranging**. However, there is no protection at all for certain types of insurance such as goods in transit, marine, aviation and credit insurance.

The compensation pot is funded by a levy on all authorised firms.

Lloyd's position

Lloyd's has a rather unusual position in that it maintains its own central pot of money as a contingency in case the members that underwrote the risk are not in a position to pay claims. This reserve fund is known as the **Central Fund** and forms part of the Lloyd's chain of security.

7

Regulatory processes, systems and controls

Impact of UK, EU and US regulation

Now the Financial Conduct Authority (FCA) and Prudential Regulation Authority (PRA) regulate the whole UK insurance industry (i.e. not just the London Market). However, the London Market writes considerable business from around the world and therefore is impacted by regulation(s) imposed in other countries.

Obtaining information about applicable rules

Lloyd's has centralised departments in its Corporation focused on relations with the UK Government and also with overseas regulators to ensure that it receives information about the rules which can then be circulated to the syndicates. The LMA, IUA and LIIBA also send information to their members.

Planning

Once insurers have clarity as to what is needed, they need to plan to ensure that compliance activities are undertaken in accordance with the requirements and on time.

Data evidence

In general terms, regulators require data evidence to show compliance with regulation, and this is the basis of the reporting done to them on a regular basis. This data evidence may well be accompanied by payment of monies for taxes in certain countries.

A good example of this principle is the coding applied to Lloyd's premium and claims data.

Example of EU regulation: Solvency II

Solvency (simply put: the balance between assets and liabilities) is vital for an insurer to be able to continue trading. The PRA currently requires additional ‘padding’ of an insurer’s assets, the level of which varies according to the classes of business being written. This ensures that the extent to which assets exceed liabilities remains enough to protect the business should a large number of claims be received.

Solvency II is the name given to the EU's Europe-wide solvency rules. When these were introduced, the EU claimed that they:

> will introduce economic risk-based solvency requirements across all EU Member States for the first time. These new solvency requirements will be more risk-sensitive and more sophisticated than in the past, thus enabling a better coverage of the real risks run by any insurer.

Be aware

Now that the UK has left the EU, Solvency II no longer applies directly, and the concept of **equivalence** comes into play. This concept basically involves trading partners such as the EU and UK agreeing to mutually recognise that each other's standards are of equal quality and offer the same level of protection for example to customers. As at mid-2023 the EU had not granted the UK financial services industry equivalence, although the UK Government indicated in late 2020 that they would recognise the EU systems.

In June 2023 the UK and the EU signed a Memorandum of Understanding establishing a framework for financial services regulatory cooperation.

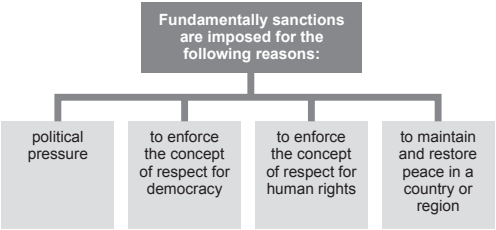
Systems and controls

Systems and controls go wider than just reporting against regulatory requirements but underpin the entire business to ensure that at no time can a risk be written by an underwriter (or an activity be undertaken by a broker) that is in contravention of the rules.

In practice, this means putting in place the safety nets to try and avoid something happening rather than just telling people something has happened after the event.

Sanctions

International businesses need to be aware of the existence and application of 'sanctions'. A sanction can be quite simply defined as a ban. Governments around the world can ban all parties (governments, businesses, individuals) from doing business with certain individuals, businesses, governments or even whole countries/regimes. Insurers are required to comply with these sanctions.



UK/EU/UN sanctions

Financial sanctions can come in a variety of forms including:

- prohibiting the transfer of funds to a sanctioned country;
- freezing the assets of a company or an individual; and
- freezing the assets of a whole government, as well as the companies and residents of the country concerned.

The Office of Financial Sanctions Implementation (OFSI) in HM Treasury is responsible for the implementation and administration of international financial sanctions in effect in the UK.

Countries impacted by UK/EU or UN sanctions

Certain countries and/or regimes have sanctions against them at any time and the list of them is subject to change.

Remember that sanctions can be applied to individuals or companies as well as governments or regimes.

It is possible to have sanctions lifted, and there is a list of what are known as ‘lifted regimes’ on the OFSI website as well. Those currently on the list include Libya, Haiti and Angola.

US Government sanctions

The London Market has very close links with the USA, both through the business coming into the London Market from the USA and also because many of the insurers operating in the London Market have a US parent company.

Therefore, it's very important for insurers to understand and comply with any US sanctions, as well as those coming from the UK/EU and UN.

Cuba

US sanctions on Cuba must be complied with by 'all U.S. citizens and permanent residents wherever they are located, all people and organizations physically in the United States, and all branches and subsidiaries of U.S. organizations throughout the world'.

This definition would include any London Market insurer with a US parent.

Practical problems with sanctions

How do insurers find out about sanctions?

Substantial information is available on both the websites for HM Treasury and the US Department of the Treasury, OFSI and Office of Foreign Assets Control (OFAC).

Lloyd's insurers and brokers can also access the **Crystal** system on the Lloyd's website which has information about sanctions on a country-by-country basis.

The Market Associations also provide guidance to their members.

Data protection

Data protection legislation

'Data protection legislation' is a generic term for the **UK General Data Protection Regulation** (**UK GDPR**) and the **Data Protection Act 2018** (**DPA 2018**). They both govern the processing of personal data in the UK.

DPA 2018 mirrors much of what is contained in the UK GDPR and makes some modifications. For example, parts of the UK GDPR do not apply to processing by law enforcement authorities. In addition, from age 13 parental consent is not needed to process data online.

Who does the legislation apply to?
It applies to all persons in the UK who process personal data other than for domestic purposes. It gives data subjects rights and places obligations on data controllers and data processors.

For example, both controllers and processors are required to ensure that their data processing is secure. Significant fines have been imposed for security breaches, and there have been a number of out of court settlements of claims for damages from affected data subjects who have banded together to obtain group litigation orders.

What information does the legislation apply to?
It applies to **personal data**. This is any information from which a living individual can be identified, either directly or indirectly. The information is not limited to names and identification numbers or to photographs or addresses. A large shoe size may be someone's personal data if there is an individual in an organisation known to have big feet. An IP address may be personal data.

It is important to remember that information may become personal data if a person becomes identifiable when data is combined with other information that subsequently comes into the possession of an organisation.

Personal data that has been effectively anonymised is no longer personal data and falls outside the data protection legislation.

It is well known that the legislation governs the processing of electronic data (known as automated processing). It is less well known that it also governs the processing of personal data in a manual filing system. For example, the failure to shred documents may be a data security breach in some circumstances. Leaving a file in a taxi is a well-known example of a security breach.

Sensitive personal data
The legislation creates special categories of personal data so as to provide additional safeguards for sensitive information. The categories are:

- race or ethnic origin;
- political opinions;
- religious or philosophical beliefs;
- trade union membership;
- genetic data;
- biometrics (where used for ID purposes);
- health information;
- information about sex life; and
- sexual orientation.

Data Protection Principles

Personal data must be processed in accordance with the seven Data Protection Principles. They are:

1. **Lawfulness, fairness and transparency**.
   - There must be a lawful basis for processing personal data. Any unlawfulness, whether it is a breach of the data protection legislation or not, will be a breach of this principle.
   - Data should be processed fairly, which means it should be processed in ways that people would reasonably expect.
   - Organisations must be clear, open and honest with individuals about the personal data they are processing and why and how they are doing it. This may be achieved with the publication of a privacy notice.
2. **Purpose limitation**. Data should not be processed for reasons other than those for which the information was obtained in the first place. For example, personal information provided when a person registers with an online retailer should not be provided to third parties without the person's consent.
3. **Data minimisation**. Organisations must use the minimum amount of data required to fulfil their purposes. They must process no more information than they need. For example, is a date of birth really necessary?
4. **Accuracy**. Data should be accurate and kept up to date. This includes granular detail such as addresses.
5. **Storage limitation**. Information must be kept no longer than is necessary to achieve its purpose. For example, is there a justification for keeping an entire file for six years? Can some sections of it be destroyed before then?

6. **Integrity and confidentiality**. Organisations must ensure that they have appropriate security measures in place to protect the data they hold.
7. **Accountability**. Organisations must take responsibility for what they do with personal data and how they comply with the other principles. They should keep records to demonstrate compliance. Providing accessible information to individuals about the use of their personal information is a key element of compliance; most organisations do this via a Privacy Notice, which can usually be found on their website.

Lawful processing
The processing of personal data is unlawful unless one of the legal bases set out in the legislation applies. This means that organisations need to identify a legal basis for the processing.

1. **Consent**

   Consent must be freely given, specific, informed, and an unambiguous indication of the individual's wishes. It must be quite distinct from other terms and conditions; it must be given for an identified purpose; and there must be some form of positive opt-in. It cannot be inferred from silence, pre-ticked boxes or inactivity. Organisations need to make it as simple for people to withdraw consent as it was to give it. It is advisable to find an alternative legal basis where possible.
2. **Contract**

   The processing is necessary to give effect to a contract with an individual, or because they have asked the organisation to take specific steps before entering a contract.

3. **Legal obligation**

   The processing is necessary for a firm to comply with the law (other than contractual obligations).

4. **Vital interests**

   The processing is necessary to protect someone's life. This basis is limited in scope and generally only applies to matters of life or death.

5. **Public task**

   Public authorities rely on this basis where they need to process personal data 'in the exercise of official authority' or perform a task in the public interest. Organisations in the private sector may also rely on this basis where they are exercising official authority or carrying out tasks in the public interest.

6. **Legitimate interests**

   The processing is necessary for an organisation's legitimate interests or the legitimate interests of a third party, unless there is a good reason to protect the individual's personal data which overrides those legitimate interests.

   Legitimate interests may be commercial interests and businesses often rely on this basis. If they do, they must identify the legitimate interest and ensure they are processing the personal data for that purpose. They must also check that the processing is necessary to achieve that purpose.

   Finally, it is important to carry out a balancing test to assess whether the interests of the individual and their right to privacy override the legitimate interests of the organisation.

Rights

Individuals have the following legal rights under the legislation:

Right to be informed	• Individuals have the right to be informed about the collection and use of their personal data. • The information provided must include the purposes for processing the personal data, the retention period and who it will be shared with. • Information must be provided to individuals at the time the personal data is collected from them.
Right of access	• Individuals have the right to find out if an organisation is using or storing their personal data. • They also have a right to receive a copy of their personal information. • They can exercise this right by submitting a subject access request (SAR). An SAR can be made verbally or in writing. • A company should respond to a SAR within one month; it can take an additional two months if the request is complex. • This right corresponds to the transparency principle which organisations are required to adopt.
Right to rectification	• Individuals have the right to have inaccurate personal data rectified or completed if it is incomplete. • An individual can make a request for rectification verbally or in writing. • A company has one month to respond. • This right corresponds to the accuracy principle.

Right to erasure	• Individuals have the right to have their personal data erased, also known as 'the right to be forgotten'. • The right is not absolute and only applies in certain circumstances. • An individual can make a request for erasure verbally or in writing. • The organisation has one month to respond.
Right to restrict processing	• Individuals have the right to request the restriction or suppression of their personal data. • When processing is restricted, an organisation is permitted to store the personal data, but not use it.
Right to data portability	• Individuals have the right to transfer personal data from the IT system of one organisation directly to another in a safe and secure way – when changing banks, for example. • This right allows data subjects to use applications or services to find a better deal.
Right to object	• Individuals have the right to object to the processing of their personal data in certain circumstances. • They have an absolute right to stop their data being used for direct marketing. • Organisations may be able to continue processing personal data despite an objection if they can establish a compelling reason for doing so. • An individual can make an objection either verbally or in writing. There is one calendar month to respond.

Rights in relation to automated decision making and profiling	• An individual has the right not to be subject to a decision based solely on automated processing, including profiling. • Processing is 'automated' where it is carried out without human intervention and where it produces legal effects or significantly affects the individual. • Individuals must be able to obtain human intervention, including an explanation of the decision, and be able to challenge it.

Accountability and governance
Data controllers are required to demonstrate compliance with the data protection legislation. They are required to have certain policies and procedures in place, including a risk register where data breaches are entered.

Organisations need to maintain documentation to evidence their processing activities and to implement appropriate security measures. Where personal data is sensitive or high risk a data protection impact assessment will be advisable. They also need to ensure there are written agreements in place between them and any processors they engage. Certain terms are mandatory in these agreements. The appointment of a data protection officer may be recommended.

International data transfers
To ensure that the level of protection afforded to individuals by the UK GDPR is not undermined, data protection legislation governs the transfer of personal data from the UK outside the EU to third countries or international organisations.

Breach notification
Organisations must report data breaches to the **Information Commissioner's Office** (**ICO**) where there is likely to be a

risk to data subjects. If the risk is high, the data subjects must be alerted to the breach.

For the most serious data breaches, the ICO may levy fines of up to £17.5m or 4% of annual global turnover if higher.

Anti-money laundering

We will now look at the process by which funds which have been obtained illegally are made to look legitimate by 'laundering' through a financial system (which is not always insurance-based).

Definition

Money laundering is the process by which criminals (including terrorists) attempt to disguise the origin of cash or other assets that they have earned from crime.

The traditional model used to describe money laundering comprises a three-stage process, as follows:

Placement	This is the process of putting cash into the financial system and converting it into other financial assets, such as cheques or even property.
Layering	It may still be possible to trace the money back to its illegal origins so the criminal will want to get involved in layering. Layering is where the criminal creates a series of complex transactions.

Integration	This is where the criminal finally gets access to the 'clean' money. There are many ways of giving the impression of a legitimate arrangement. The replacement of stock and its sale to the public is one example. Often much more sophisticated methods are used. Buying or leasing property or creating a company and drawing a salary are two more examples.

Sources of law and regulation concerning money laundering

There are three strands to the rules that apply to money laundering:

- Specific laws that define what represents a criminal offence and the penalties that apply to such Acts (which are of general application).
- Money laundering regulations that apply to a stated range of firms operating in the financial services sector (but not necessarily specific to general insurance).
- FCA rules and guidance that apply in different ways to different categories of regulated firms.

Money laundering legislation

The UK law relating to money laundering has developed and widened over time as follows:

Criminal Justice Act 1988	created the criminal offence of money laundering, but only in respect of drug trafficking and terrorism.
Criminal Justice Act 1993	made it a criminal offence to launder the proceeds of other serious crimes.
Proceeds of Crime Act 2002 (POCA)	extended the range of offences for money laundering.

POCA established the current principal money laundering offences:

- **concealing, transferring, converting, or removing criminal property**. 'Concealing' would include hiding cash or valuables; 'transferring' would include sending a BACS transfer; 'converting' includes selling a stolen car for cash;
- **making arrangements in respect of criminal property**. This has a very wide definition and would, for example, include organising the sale of criminal property or setting up an account to receive the proceeds of crime; and
- **acquiring, using or possessing criminal property**. 'Acquiring' would include purchasing criminal property. 'Using' would include presenting criminal property as collateral for a loan. 'Possession' would include a bank holding the proceeds of crime in a client's bank account.

In addition, it established:

- offences of **failing to report suspected money laundering**; and
- offences of **tipping off about a money laundering disclosure** (a suspicious report) or investigation.

Money Laundering Regulations

The **Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017** are fundamental to money laundering prevention in the finance sector. They require the creation and maintenance of systems to prevent and control money laundering and effective training to be in place. The provisions apply to defined organisations operating in the UK financial sector, but not general insurance activities, including mediation activities.

Regulatory rules and guidance on financial crime

The Financial Conduct Authority gives high priority to the protection of consumers as potential victims of financial crime, as well as the use of firms as the conduit for financial crime.

Joint Money Laundering Steering Group (JMLSG)

The JMLSG is made up of the leading UK Trade Associations in the financial services industry. Its aim is to promote good practice in countering money laundering and to give practical assistance in interpreting the UK Money Laundering Regulations. This is primarily achieved through the publication of industry guidance which is then used by the FCA in consideration of whether breaches have happened within the financial services industry.

Regulatory rules insist that firms must have in place systems and controls, which must include giving their employees suitable training, with regard to money laundering. The governing body and senior management must be in receipt of certain information and the firm's appointed **Money Laundering Reporting Officer (MLRO)** must make a report at least annually on how the systems and controls operate and on their effectiveness.

Anyone who suspects that money laundering is taking place must report this to the nominated officer/MLRO. The nominated officer must then decide whether the suspicious transaction should be reported to the National Crime Agency (NCA).

Client verification

Firms must take all practical measures to check the identity of new clients. This includes ensuring that their address details are genuine. Money laundering regulations are not specific as to the precise nature of appropriate means of identification. However, guidelines issued by JMLSG state that client verification for individuals should be 'photographic'.

Identification requirements for a company
In the case of a company, it is necessary to establish:

- its full name;
- registered number;
- registered office in the country of incorporation; and
- business address and to check that it legally exists for normal business operations. This could be done by, for example, obtaining a copy of its Certification of Incorporation or searching the relevant company registry. Any complex ownership arrangements should be clarified.

Proof of identity should be obtained as soon as possible and transactions should not be completed until it has been provided. Any verification difficulties should usually be reported to the MLRO and, possibly, by the MLRO to the authorities.

Bribery

The **Bribery Act 2010** covers four major offences, which are:

- bribing another person;
- receiving a bribe;
- bribing a foreign public official; and
- the corporate offence of failing to prevent bribery.

The last offence listed is a corporate offence and companies are at risk if they do not put in place systems and controls to counter this risk.

There is also US legislation (**Foreign and Corrupt Practices Act 1977**) which prohibits bribery of foreign government or political officials. Given that some London Market insurers and intermediaries have ties with US entities, it is important for them to be mindful of this US legislation in the same way as they must be mindful of the relevant US sanctions.

8

Role of a broker

Legal basis of the broker's role

Who are the parties in the insurance transaction?

The most straightforward insurance transaction involves just two parties: the buyer of insurance (or the insured) and the seller of the insurance (the insurer).

However, the buyer of insurance may not be knowledgeable about the options available to them either in terms of product or market and so will seek help from an expert adviser. This adviser is a broker, who is able to offer independent impartial advice concerning available products and markets and can represent the insured in communications and negotiations with any potential insurers.

Principal and agent

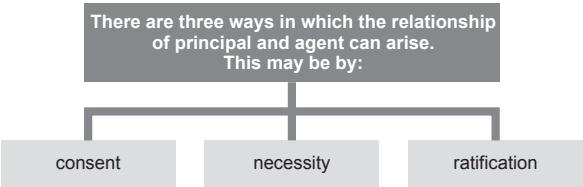
In legal terms an '**agent**' is one who is authorised by one party – termed the '**principal**' – to bring that principal into a contractual relationship with another – termed the 'third party'. Here, the client is the principal, the broker is the agent and the insurer is the third party.

There are other types of intermediaries who act as agents for insurers in that they are only permitted to promote and provide certain insurer products to their customers.

Law of agency

In law, everyone who acts on behalf of another person is an agent.

Methods of creating an agent/principal relationship



Agency by consent
The most usual way of creating a relationship between principal and agent is by consent, also known as an agency by agreement. Both parties enter into a legally enforceable agreement.

Agency by necessity
This arises where a person is entrusted with someone else's goods and it becomes necessary to act in a certain way in order to preserve the property in an emergency.

Agency by ratification
Ratification refers to a situation where an agent acts without authority, but the principal accepts the act as having been done by the agent on their behalf.

Relationship of agent to principal

In most cases, an agent represents only one of the contracting parties. In some unusual cases where the broker has been granted some authority by the insurer (for example claims settlement authority up to a certain level), then they are acting for both the client and the insurer and they must be careful to avoid any 'conflict of interest' between them.

Agent of the insured

An independent intermediary is considered to be the agent of the insured when the intermediary gives advice:

- on cover or the placing of the insurance; or
- to the insured as to how to make the claim.

Agent of the insurer

An independent intermediary is considered to be the agent of the insurer when the intermediary:

- can bind cover, i.e. has the authority of the insurer to accept risks as if they were the insurer themselves; and/or
- has authority to collect premiums and does so.

Duties of an agent

An agent has the following duties to their principal:

- Obedience.
- Personal performance.
- Due care and skill.
- Good faith.
- Accountability.

Duties of a principal

A principal has the following duties to their agent:

- Remuneration.
- Indemnity.

Undisclosed principal

English law permits an agent to act for an undisclosed principal, whilst seeming to act on their own behalf. The agent must have authority to act on behalf of the undisclosed principal at the time the contract is made for it to be effective.

Consequences of an agent’s actions

The consequences of an agent’s actions on the principal depend on the particular circumstances. Influential factors will be the extent of the agent’s authority: whether there is actual authority, apparent authority or no authority.

Actual authority

Actual authority may be express or implied, as follows:

Express authority arises from the terms of an agency agreement, which may be oral or in writing.

Implied authority may be one of two kinds. If the agent has to undertake a certain action in order to carry out express instructions, they will have implied authority to do so.

Apparent authority

It is unlikely that a third party will be aware of the extent of an agent's authority. Since the third party is often in no position to make any judgment about the extent of such authority, the situation is catered for in law by what is termed **'apparent' authority**.

It is important that you recognise that even if the actions of an agent bind the principal to the contract – if the agent is acting outside their authority, the agent is liable to the principal for the agent's actions.

Even if the principal decides for reasons of reputation/brand protection to ratify the contract they still have the ability to pursue the agent for damages behind the scenes.

Termination of agency

An agency may be terminated in a number of ways – the most common being:

- mutual agreement;
- termination by one party or the other; or
- death, bankruptcy or insanity of any of the parties.

Regulation

Insurance intermediaries are authorised and regulated by the FCA.

Authorised persons

An intermediary wishing to offer independent advice must apply for direct authorisation by the FCA. Once authorised, a firm is bound to abide by all FCA rules.

Consequently, since their introduction there has been a great deal of consolidation in the marketplace through sales and acquisitions of smaller firms of brokers. In addition, umbrella organisations have been created that are known as 'broker networks'. These vary in their structure, but one model for this is that the umbrella organisation becomes the authorised person and each 'member' (the broker) of the network becomes an Appointed Representative, thus availing itself of the centralised facilities and associated costs.

The FCA takes the position that its own rules are in addition to any legal duty of trust that an agent owes to a principal.

Appointed representatives (ARs)

An **appointed representative (AR)** may be an individual or a company that is appointed by an authorised person under the terms of a contract. An AR may be acting for an intermediary that is itself directly authorised by the regulator.

The TOBA determines the AR's role and responsibilities. The key feature is that the principal takes responsibility for the AR's activities in carrying on the business of the principal.

New rules came into force on 8 December 2022 and reinforce the responsibilities that the principal firm has to ensure that the AR is fit and proper and complies with FCA rules.

For example, the principal firm must:

- have a written agreement (for example, the TOBA);
- assess the AR before appointing them to ensure their suitability;
- keep the FCA notified of AR appointments;
- ensure that they (the principals) have the skills and resource to oversee the AR;
- ensure that the AR always acts within their authority, and continue to meet the required standards;
- provide complaints data annually; and
- be clear on when and how to terminate an AR relationship.

Lloyd's insurance brokers

Although the term 'broker' may be freely used in the market, it is the Council of Lloyd's that registers insurance broking firms to act as Lloyd's brokers. This title and distinction from non-Lloyd's brokers still exists, even though access to Lloyd's

has been granted to a wider range of intermediaries by virtue of **Legislative Reform** (**Lloyd's**) **Order 2008**.

Once appointed the words 'and at Lloyd's' may be used on the firm's letterheads and name plates. The requirements of Lloyd's are in addition to those of the FCA for authorised persons. However, Lloyd's no longer has its own separate code of conduct for Lloyd's brokers, relying instead on the regulator's rules for authorised persons.

Wholesale and retail brokers

The broker with the direct contact with the client is known as the **retail broker** and their colleague who has the contact with the insurer is known as the **wholesale broker**. It is possible for these roles to be performed by two offices of the same broking firm.

Regulation of intermediaries

Once authorised, an intermediary will be supervised in an ongoing manner by the FCA. The FCA has operational objectives and it assesses the risk to those objectives presented by any authorised firm. The higher the perceived risk, the closer the supervisory relationship that the FCA has with the firm concerned.

Should an intermediary fail to comply with FCA rules, then the FCA can take the following actions:

- withdrawing that firm's authorisation;
- disciplining both individuals and firms;
- imposing penalties;
- applying to the court for injunctions (a court order requiring certain action to be stopped); and
- prosecuting the firm.

Services provided by intermediaries

In the London Market, the main distinguishing feature of an independent intermediary (which includes Lloyd's brokers) is the fact that the intermediary is acting on behalf of the client when placing business, not on behalf of the insurer in introducing the business.

Services provided to clients

The intermediary must be capable of offering advice on the basis of a fair analysis of the market. It is important to remember that the available market is not always London.

The services that intermediaries provide for their clients vary considerably. If we consider independent intermediaries (such as London Market brokers) first, they will all carry out the following functions:

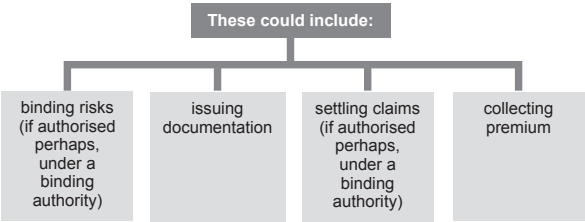
- review the client’s needs;
- advise whether the risk is insurable;
- decide the best market for the risk;
- negotiate terms and conditions;
- provide advice to the client (for example, concerning the wording of the policy);
- negotiate renewals; and
- advise and assist clients in relation to claims matters.

There are further services that may be provided and these will be specified in the TOBA agreed with the client. They include such things as:

- risk management advice; and
- recoveries.

Services provided to insurers

Other functions may be carried out by the intermediary on behalf of insurers, depending upon the TOBA with the insurer.



Schemes and delegated authority

Many insurers have delegated some authority to intermediaries to act on their behalf.

Some delegated authority schemes (often called 'binders') give a great deal of flexibility to the intermediary within defined limits. Advantages for the intermediary are:

- the ability to grant immediate cover;
- ease of operation; and
- (quite often) some kind of profit-sharing provision if the results of the scheme are good.

Broker's role in the placing process

Initial enquiry from the client

On receipt of the initial enquiry from the client, the broker should be reviewing the client's requirements with them and considering the options, in terms of available markets and potential types of insurance. Whilst this syllabus and study text are focused on the London Market, it is important to appreciate that there are insurance markets worldwide. A good broker (particularly for commercial risks) should never just consider their 'home market' as the only option – as that may not be the best option for the client.

Presentation of the client's risk to insurers

The broker puts together a summary of the risk into a document which is still colloquially called a 'slip', although its proper name is now the Market Reform Contract (MRC).

It is important that brokers remember that their knowledge is imputed on their client under the Insurance Act as knowledge that the insurer is deemed to have and should, if material, share with the holders.

Under the **Insurance Act 2015**, information known by the broker is also considered to be known by their client, unless it is confidential information that the broker has obtained from another source.

Which insurers to approach?

There are no market rules banning brokers from approaching a combination of Lloyd's and company market insurers, or mixing providers in the London Market and overseas market. It is entirely down to the broker's skill and knowledge to ensure that they obtain the best terms and conditions for their client – and of course that they use insurers that are going to still be in business when a claim needs to be paid.

Quotations

In the same way as you would get a number of quotations for your own personal insurance, a broker should obtain a number of quotations for their client's business. These may vary not only in terms of price but also in the coverage being offered and the market involved; therefore, the broker needs to spend time explaining the differences to the client so that an informed decision can be made as to which of them to accept, or whether in fact to reject them all.

Once the client has decided which option to go for the broker can commence the process of finally binding the risk.

Binding the risk

Here, the broker contacts the insurers which provided the quote that was accepted and asks them to confirm or 'ink' their line on the slip. Although the term 'inking' refers to the traditional way of stamping and scratching (or initialling) a paper slip, in today's market it is quite normal to have both the quotation process and the final binding of insurers to the risks performed electronically.

Central recording of the risk and payment of premium

When the broker revisits all the insurers again to get their 'inked' line, each of the insurers takes a copy of the slip for its own records and enters some of the data in their computer systems. If they have used an electronic placing system, a copy of the slip is in the system together with date/time stamped confirmation of their agreement to participate.

The broker submits information about the risk to a company called Xchanging Ins-sure Services (XIS) (now part of Velonetic although you will also see the name DXC. Velonetic is a joint venture between DXC and the Lloyd's and company markets and manages the central market databases for risk data for both Lloyd's and IUA companies, and also facilitates the movement of premium funds centrally from brokers' bank accounts to the various insurers' bank accounts.

Documents called **London Premium Advice Notes** (**LPANs**) are generally used to present the premium information in a standard format.

Historically, presentation to XIS was done by depositing a set of papers with them which would be reviewed and returned, but now the system is almost completely electronic and a system called **Accounting and Settlement** is used for the vast majority of the risk and premium submissions by brokers, which involves a combination of scanned documents and electronic messaging.

The key data relating to the risk, including the identity of the brokers and the insurers, together with the amount of the premium and any brokerage is recorded on the XIS computer systems. Each night, every insurer is sent electronic messages advising them of the data recorded that day on risks in which they participate.

The broker gives the risk a unique code, called a **Unique Market Reference** (**UMR**). This code is recorded and reported to insurers, along with the other information captured and additional reference numbers relating to the transaction on the XIS system.

It is very unusual, however, for the broker to pay the premiums for the risk directly to the insurers as the London Market has for many years, used centralised money movement systems.

The system facilitates the movement of funds out of the broker's bank accounts directly into the insurers' accounts and overnight messaging to both insurers and brokers advises them that this is happening. It provides references that link transactions connected with a single insurance contract to reconcile funds leaving one account and appearing in another.

Provision of documentation to the client

Once the placing process is complete, the insured should receive a document evidencing their contract of insurance.

Changes to the risk

If any changes are required during the life of the risk then the client should contact their broker who will then approach the insurers to advise them of the changes and to obtain their agreement.

Once the change has been agreed with the insurers, the broker sends the information to XIS for recording, together with any necessary premium-related documentation.

Broker's role in the claims process

Claims notification

Should there be a situation which might give rise to a claim, the insured usually contacts their broker.

At the first possible opportunity the broker advises the relevant insurers. The London Market has various claims-handling agreements which mean that it is not necessary for a broker to see all the individual insurers to obtain their decisions on claims matters. The broker contacts the necessary **Agreement Parties** to obtain their instructions which they then 'route back' to their client.

The broker can additionally advise their client as to the correct way to present their claim – for example, the documents that are required.

Appointment of experts

Insurers often appoint experts to assist the client and also to report back facts and information to insurers. The experts' reports are also usually routed back via the broker who:

- provides a copy to their client; and
- presents them to the insurers for any further instructions.

Negotiation

Just as the placing broker negotiates the placement of the risk, the claims broker has a negotiating role to play in those cases where the claim is not perhaps clear-cut. This does not mean that the broker has to negotiate each time but they add considerable value to their clients in negotiating points

with insurers to assist with the resolution of the claim and to ensure that the claims process is as smooth as possible.

Claims data

In the same way that risk data is centrally recorded by Velonetic/XIS from presentations made by brokers, claims data is also centrally recorded – but done in a slightly different way depending on whether the insurers come from the Lloyd's or company market.

The database is populated using presentations made by brokers, which can be in paper or electronic form, with the emphasis on using electronic presentations unless absolutely unavoidable.

While there is no separate central database for the company market, claims data is sent by the brokers to the individual company market underwriters electronically as well as via paper submissions. The difference with the Lloyd's Market is that the system into which brokers enter data is the **same system** that sends the overnight message data into the company insurers' systems and in which the individual insurers can view their own claims data, perhaps to compare with information in their own individual organisation's systems. Confusingly perhaps, this is also ECF but a different version of it.

Money movement

In the same way that premium funds are moved centrally by Velonetic/XIS, Velonetic/XCS move money centrally for Lloyd's insurers only. The system is exactly the same as for premiums, just with the direction reversed.

For company market claims, once the correct combination of insurers agrees any particular settlement request from the broker, the claims system on which the data is held actually triggers money movement **automatically**.

Final stages of the claims process

The broker's responsibilities are complete when the client receives the claims funds 'in full and final settlement' (and hopefully is happy, although this is not always guaranteed). Depending on the type of claim, the insurers may be considering some subrogation or recovery action and the brokers should remain in contact with them, as the insurers will often include the amount of any deductible or an uninsured loss within a combined action.

Legal changes impacting the claims process

The **Enterprise Act 2016**, which came into force on 4 May 2017, introduced a new remedy for insureds who believe that their claims have been paid late. They have up to one year after the claim was actually paid to file a legal action claiming damages for the late payment.

9

Underwriters

Role of an underwriter

In its most straightforward role, an underwriter is the person who makes the decision on behalf of an insurer whether to accept any risk presented. If the insurer accepts a risk, the underwriter determines the terms and conditions on which the acceptance is made.

In a modern insurance organisation, whether a company or a Lloyd's syndicate, there will be a number of underwriters – each with responsibility in their area of specialty, who are all employed by the investors in the business to accept risks (and hopefully make profits). In the case of a Lloyd's syndicate, they are employed by the managing agent which is the entity responsible for managing the syndicate on behalf of the Names (the investors). Insurance companies employ their own underwriters.

Functions of an underwriter

The **main** functions of the underwriter are to:

- assess the risks being presented to the pool;
- decide whether or not to accept the risk and if so – how much of the risk to accept;
- determine the terms and conditions to be offered; and
- calculate an appropriate premium.

Subscription market

In the London Market, risks can either be placed 100% with one insurer (but this is rare) or on a 'subscription basis'. This means that more than one insurer participates in the same risk, each taking a fixed percentage of the risk.

An underwriter may only take a proportion of any risk offered for a number of reasons, as follows:

- Size of risk and authority levels.
- Balancing the portfolio.
- Insurance broker input.
- New class of business.

There are no rules as to the combination of insurers on any one risk and these combinations can include both London Market insurers as well as those from overseas markets. In cases where the insured is based overseas, it is quite common for the risk to be placed partially in their home market and then any balance remaining being presented to the London Market.

In a subscription market, part of the broker's skill is to identify the best underwriter to approach first, to be the **leader** (or 'lead' or 'leading'). The leader's role is to:

- review the risk presentation being made by the broker;
- consider whether or not to accept it;
- decide the terms and conditions upon which to accept the proposal; and
- quote a premium.

Characteristics of a good lead underwriter

The broker looks to the leader to put together an appealing quotation for the client, but if the leader does not accept 100% of the risk, the broker will then have to present it to other underwriters to see if they will support the quotation.

It is therefore essential that the leader is both able to provide a good quotation to the client and at the same time be credible and supportable by what is known as the **'following market'**.

Following market underwriters

A following market underwriter is one who is not deemed to be the leader. However, it is important to appreciate that each underwriter who takes a share of the risk is creating a separate and distinct contract of insurance between their insurer and the insured – and they must consider the risk for themselves before they make that commitment.

While standard practice is that the following market underwriters agree with and support the leader's position, it is entirely possible that a following market underwriter might request more premium before agreeing to support the risk. If the risk is popular and the broker is not concerned about obtaining enough support from underwriters, the easy solution is not to use that underwriter. However, if the risk is proving more difficult to place, then the broker may need that underwriter to take a share of the risk.

The **European Federation of Insurance Intermediaries** (**BIPAR**) put together some high-level principles concerning the placement of business with subscription markets and these are set out in the following:

1. The intermediary shall, based on information provided, specify the demands and needs of the client as well as the underlying reasons for any advice.
2. Before placing a risk, an intermediary will review and advise a client on market structures available to meet its needs and, in particular, the relative merits of a single insurer or a multiple insurer placement.
3. If the client, on advice of the intermediary, instructs the latter to place the risk with multiple insurers, the intermediary will review, explain the relative merits and advise the client on a range of options for multiple insurer placement.

   Intermediaries will expect insurers to give careful independent consideration to the option requested.
4. In the case of a placement of a risk with a lead insurer and following insurers on the same terms and conditions, the previously agreed premiums of the lead insurer and any following insurers will not be aligned upwards should an additional follower require a higher premium to complete the risk placement. Indeed, the intermediary should not accept any condition whereby an insurer seeks to reserve to itself the right to increase the premium charged in such circumstances.
5. During the placement of the risk, the intermediary will keep the client informed of progress.

One specific type of insurer which is appearing in market is what is known as a "smart follow" underwriter which is effectively one which is using data and trackers to write portfolios of business with a much lower operational cost basis than a traditional set up.

Multiple placements

Even with the principles set out above, there will be situations where the insurers subscribing to the risk have agreed slightly different commercial terms and conditions, whether that be the premium, the deductible or even the brokerage to be paid to the intermediary. If so, the practical result is that the broker must prepare and present multiple sets of information to Xchanging for the risk recording and premium transfer process.

Handling changes to risks

It is important at this point to distinguish between the overall leader, the slip leader and the bureau leader:

- **Overall leader**. Earlier in this section we discussed the importance of the leader's credibility to other underwriters in addition to their ability to set terms and conditions acceptable to the clients. In the London Market, the overall leader of a risk may in fact be overseas and when the broker presents the risk to the London Market underwriters they will tell them the terms that the overall leader has set.
- **Slip leader**. The London Market underwriters are not obliged to follow the overall leader's terms – but for the moment we will assume that they do so. The broker may have gone to see a London Market leader in either the Lloyd's or the company market. If that underwriter is happy to lead the broker's London Market slip, they become the slip leader.
- **Bureau leader**. As we have already seen, there are no rules around combining Lloyd's and company underwriters on a slip with London Market security on it. If the slip leader is from a company then the first Lloyd's underwriter on the slip is called the bureau leader for Lloyd's and the slip leader is also the bureau leader for the company market (and vice versa for the company market if the slip leader is from Lloyd's).

Within the structure of the slip/MRC there are sections for the parties to identify those who will be agreeing post inception contract changes or handling claims.

Post bind changes in particular are matters which brokers generally want to have managed as efficiently as possible, and one way to do that is to streamline the number of decision makers who have to be involved. The General Underwriters Agreement (GUA) referenced above is a default mechanism which divides changes into three categories being:

- Part 1 – non-material changes which will be agreed leader only.
- Part 2 – anything not in part 1 or part 3 generally which is leader and some agreement parties.
- Part 3 – material changes which should be agreed by all underwriters.

The leader is always involved in risk changes, but if you have a number of separate slips that have been created because of differences between the terms and conditions, then multiple leaders will have been created almost inadvertently. This causes difficulties – particularly with electronic trading – as far more parties have to be involved, which was never the intention.

Identifying the agreement parties for claims

As with risk changes, the London Market has in-built claims-handling agreements which seek to streamline the process. However, the market rules always apply and, unlike risk changes, insurers cannot add themselves to the decision-making group automatically.

If the risk ends up being spread across a number of slips because of slight differences in the terms and conditions

(which might have no impact on whether a claim is covered), multiple leaders will appear by default and the process has the potential to be slowed down rather than speeded up.

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